

Imitation or information? Strategic mimicry in earnings conference calls

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Abstract

We examine whether and how firms mimic peers' disclosures in earnings calls, integrating theories of informational cascades, herding behavior, and institutional isomorphism within a Bayesian disclosure framework. We develop a state-of-the-art semantic similarity measure based on large language models to capture subtle similarities in earnings call language. Exploiting the staggered timing of earnings calls, we find that firms adopt disclosure language resembling that of peers whose earlier calls elicited positive investor reactions, particularly in portions of the discussion that are more qualitative (less numbers-heavy), that exhibit a more positive tone, and that discuss performance. While this mimicry yields immediate benefits, generating more positive short-term market responses around the mimicking firms' own earnings calls, it is associated with weaker subsequent operating performance and has no association with capital investments. Our findings highlight an underappreciated strategic dimension of corporate communication: firms can monitor competitors' successful narratives and actively update their disclosure strategies to influence short-term investor perceptions.

Keywords: earnings conference calls, peer disclosure similarity, mimicking, market reactions.

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“From the errors of others, a wise person corrects their own.” P. Syrus

1. Introduction

Earnings calls represent a key disclosure event for firms, providing managers with a direct channel to discuss financial results, articulate strategic direction, and manage investor expectations. These calls attract significant attention from investors, analysts, and other stakeholders, influencing market reactions and shaping perceptions of corporate performance. Given their significance, earnings calls have been extensively studied in the literature, with research examining aspects such as linguistic tone, evasiveness in responses, and disclosure readability.¹ However, an important feature of corporate disclosure strategy remains relatively unexplored: the extent to which firms adjust their earnings call narratives based on the market’s reaction to their peers’ disclosures.

Unlike financial statements, which are subject to strict accounting standards, the qualitative narratives in earnings calls offer firms substantial flexibility in structuring their disclosures. This flexibility creates an opportunity for firms to strategically adapt their messaging based on prior market responses to similar firms’ disclosures. In this paper, we investigate whether firms mimic the language and themes of peers whose earlier earnings calls have been well received by investors. By integrating insights from economics, finance, and organizational theory, we explore the strategic incentives behind such mimicry, the market’s response to it, and its implications for future firm performance and investment decisions.

The decision to mimic peer firms’ earnings call disclosures can be understood through several lenses. Theoretical insights from informational cascades and institutional isomorphism (e.g., [Banerjee \(1992a\)](#), [Bikhchandani et al. \(1992\)](#), and [DiMaggio and Powell \(1983\)](#)) suggest that firms, particularly under uncertainty, may rationally converge toward peer disclosure patterns that have elicited positive market responses. This convergence may reflect firms’ desire to align with developing industry norms or to capitalize on investor sentiment. However, the economic im-

¹For instance, [Price et al. \(2012\)](#) and [Bochkay et al. \(2020\)](#) find significant price reactions to tone and extreme language in earnings calls; [Bushee et al. \(2018\)](#) examine the implications of earnings call linguistic complexity on information asymmetry; [Hollander et al. \(2010\)](#) and [Gow et al. \(2021\)](#) examine executives’ non-answers to analysts’ questions in earnings calls.

plications of mimicry depend on whether imitation credibly conveys underlying fundamentals or merely represents opportunistic adaptation aimed at short-term stock price gains. Moreover, under a communication theory framework (e.g., Crawford and Sobel (1982)), if mimicry carries sufficient credibility costs, only companies with genuinely strong fundamentals find it beneficial, making linguistic similarity a reliable signal of favorable prospects. In contrast, if imitation costs are low, firms can mimic successful peers opportunistically. This theoretical framework motivates our empirical tests. Specifically, we predict that firms' disclosure language is more likely to align with (diverge from) peer disclosures that were positively (negatively) received by investors and that greater similarity will initially elicit stronger stock market responses. Whether mimicry constitutes credible signaling of stronger prospects or reflects opportunistic "cheap talk" is an empirical question we test by examining subsequent operating performance and investment decisions.

We formalize the strategic disclosure choices of firms within a Bayesian game-theoretic framework, in which firms decide whether to mimic peers' earnings call narratives based on two considerations: (i) the credibility costs associated with imitation, reflecting reputational, legal, or market-imposed costs, and (ii) the anticipated investor response, informed by earlier market reactions to peer disclosures. Firms first observe peers' disclosures and corresponding market outcomes, allowing them to strategically evaluate whether adopting similar language and themes will likely improve investor perceptions. Our model highlights two distinct equilibria, depending on the credibility costs of imitation. When imitation costs are high, due to reputational scrutiny or investor vigilance, a separating equilibrium emerges, in which only firms with genuinely strong fundamentals find mimicry beneficial. Under these conditions, investors interpret high disclosure similarity as a credible signal of quality, leading to a sustained valuation premium for mimicking firms. In contrast, if imitation carries minimal costs, a pooling equilibrium arises, in which both strong and weak firms adopt the language of successful peers. Here, investors may initially reward imitation, generating temporary price increases. However, since mimicry is inexpensive and is adopted indiscriminately, investors' initial optimism is likely misplaced, resulting in eventual market corrections when performance fails to justify early expectations.

Motivated by these theoretical predictions, we empirically investigate strategic mimicry using a comprehensive dataset of earnings call presentations from 2007 to 2023. We measure linguistic similarity between firms' earnings call narratives using state-of-the-art natural language processing (NLP) techniques. Specifically, we first divide each earnings call presentation into short and coherent segments, each representing a distinct topic or idea. We then convert these segments into numerical representations using advanced sentence-embedding models, enabling us to numerically position semantically similar segments close to one another. To quantify the similarity between earnings call presentations, we calculate pairwise semantic similarity scores by comparing segment embeddings across firms, averaging scores only for segment pairs that surpass a minimum semantic similarity threshold. Validation tests confirm that our measure effectively captures meaningful variation: calls from firms operating under similar economic conditions, such as those within the same industry, of similar size, and reporting comparable earnings surprises, exhibit much higher similarity scores than calls from firms facing different underlying conditions.

Using this validated measure, our empirical analysis takes advantage of the staggered timing of earnings calls within each fiscal quarter. To ensure comparability and isolate strategic imitation from mechanical similarity due to common economic conditions, we restrict our main sample to firms with December 31 fiscal year ends, belonging to the same industry, and reporting similar earnings surprises within a given fiscal quarter. This structure enables us to clearly isolate the effect of strategic incentives for firms to mimic successful peer narratives, rather than mechanical similarities arising from shared economic fundamentals.

Our analysis proceeds in three steps. First, we test whether firms tend to mimic disclosures of peers whose earnings calls earlier in the same fiscal quarter and for the same level of earnings news were positively received by investors (hereafter, 'successful peers'), as indicated by the abnormal stock returns around the calls of these peers. If companies pay attention to investors' reactions to prior peer disclosures, we expect them to exhibit higher linguistic similarity to successful peers, especially in those text segments that are easier to imitate. Second, we examine investors' immediate response to disclosure similarity by investigating whether companies whose earnings call state-

ments closely resemble those of successful peers experience stronger short-term market reactions around their own earnings calls. For example, if a peer technology firm successfully emphasizes transformative investments in artificial intelligence (AI), subsequent firms adopting similar narratives around their own AI strategies may also experience more positive market reactions. Finally, we examine whether high similarity to successful peer disclosures is associated with subsequent firm performance and capital investments. This analysis helps distinguish between mimicry as a credible signal of superior fundamentals versus mimicry as strategic, opportunistic “cheap talk,” designed primarily to manage short-term investor perceptions rather than to accurately reflect underlying firm quality.

Our empirical results support strategic mimicry. Using pairwise comparisons matched on industry and earnings surprise, and controlling for firm and year-quarter fixed effects as well as additional firm and peer-specific characteristics, we find that focal firms, on average, align their earnings call disclosures more closely with peers whose earlier presentations elicited positive market responses. In addition, we find that the effects are mostly observable in qualitative (less numbers-heavy), higher-tone, and performance-focused discussions, consistent with managers drawing on peer disclosure where discretion is greatest and language is most likely to shape investor reactions.

To address the possibility that our findings simply reflect pre-existing or emerging similarities in underlying business activities, we control for both past and future business similarity based on textual analysis of firms’ 10-K business descriptions. Our results remain robust to these controls, reassuring that the observed linguistic alignment reflects an active response to peers’ successful calls rather than shared or converging business strategies. Finally, we find similar results when comparing focal firms that consistently announce earnings around the same time with those that vary their earnings announcement timing. This finding helps mitigate concerns that our results are driven by firms strategically timing their disclosures to benefit from observing earlier announcements of higher-quality peers.

Next, we examine the short-term market consequences of this mimicry. Specifically, we document that firms whose earnings call statements closely mirror those of successful peers experience

significantly stronger immediate stock price reactions around their own earnings calls. Quantitatively, focal firms with high disclosure similarity realize abnormal returns that are approximately 7% higher relative to the median absolute stock price reaction (of 4.3%) observed around earnings calls. This finding supports the notion that investors interpret linguistic similarity as indicative of positive firm prospects, consistent with theories of informational cascades and investor herding. However, the magnitude of this reaction suggests that investors may place substantial weight on narrative cues such as linguistic alignment, potentially without fully distinguishing strategic mimicry from information about fundamentals.

We next examine the longer-term implications of disclosure mimicry by analyzing future operating performance and capital expenditures. When restricting our analysis to focal firms and the set of successful peers with whom they exhibited high similarity, we find that the mimicking behavior is significantly associated with weaker earnings performance over the next year. Moreover, we find no meaningful investment activity for mimicking companies in the next year, providing further support that linguistic imitation is not indicative of superior underlying fundamentals or meaningful operating changes.

Our findings are robust to alternative measures of linguistic similarity, analyses of smaller sub-samples of focal firms and their peers, inclusion of company-peer fixed effects, and different falsification tests. Collectively, the evidence points to an important tension in disclosure practices: although firms strategically leverage mimicry to capitalize on short-term investor reactions, the market's initial positive reactions are not substantiated by future performance or investment activity. Thus, linguistic mimicry appears to operate as strategic cheap talk rather than a credible signal of firm quality, highlighting potential inefficiencies in investors' interpretation of corporate communication. Overall, these results underscore the nuanced role of strategic disclosure in capital markets, emphasizing how managerial incentives interact with investor responses to disclosure.

Our paper makes several contributions to the strands of literature on strategic corporate disclosure, peer effects in corporate decision making, and investor interpretation of textual disclosures. First, we contribute to the literature on corporate communication by highlighting a previously un-

explored but important dimension of earnings calls: the strategic interplay between firms' disclosure decisions and preceding market reactions to peers' disclosures. While prior research examines disclosure characteristics of individual firms, such as linguistic tone, readability, or evasiveness (Price et al., 2012; Bushee et al., 2018; Bochkay et al., 2020), our study provides the first systematic analysis of strategic mimicry in earnings call narratives. By integrating insights from economic theories on information cascades, herding, and institutional isomorphism, we document that managers actively monitor peer disclosures and associated market reactions, strategically incorporating language and themes that resonate favorably with investors. This theoretical link between observational learning by firms from peers and their subsequent communication strategies enriches our understanding of disclosure dynamics as an inherently interactive and adaptive process.

We also advance the broader literature on peer influence in corporate disclosure and financial reporting practices. Existing research has primarily examined how peer behavior influences specific managerial decisions such as earnings management (Bratten et al., 2016), disclosure timing (Truong, 2023), management earnings guidance (Seo, 2021), and disclosure of clinical trial results (Capkun et al., 2023). We extend this literature by considering how firms respond to peers' prior narratives, rather than simply reacting to financial or operational actions. Employing advanced NLP techniques, our analysis captures text-based similarities at the semantic level, allowing us to capture the meaning of texts and uncover nuanced linguistic mimicry. Thus, our study moves beyond prior work that has primarily relied on simpler textual comparisons and provides a richer, more nuanced understanding of how firms dynamically adjust their narratives based on investor responses to prior peer disclosures.

Finally, our findings improve our understanding of textual similarity in corporate disclosure by shifting the empirical focus from mandatory disclosures, such as business descriptions, risk factors, or MD&A sections in annual reports (Brown and Tucker, 2011; Hoberg and Phillips, 2016; Dyer et al., 2017), to voluntary disclosures in earnings calls, which are more dynamic and strategically adaptable. Previous research often attributes textual similarity to regulatory constraints or shared industry fundamentals, implicitly assuming that similarity arises primarily due to similar economic

conditions or regulatory pressures. In contrast, we leverage advanced natural language processing methods to measure semantic similarity precisely, enabling us to examine strategic imitation in a setting characterized by voluntary disclosures and significant managerial discretion. By demonstrating that linguistic mimicry in earnings calls reflects strategic responses to observed investor preferences rather than just shared economic fundamentals, our study identifies a previously unrecognized driver of disclosure similarity with significant implications for investor decision-making.

2. Theoretical and Conceptual Framework

Earnings calls are critical platforms for managers to communicate private information and shape investor expectations. While these calls primarily convey firm-specific financial performance, strategic direction, and future prospects, managers may adjust the content and style of their communications by observing and emulating successful peers – a hypothesis we empirically test in this study. Our analysis is motivated by both anecdotal evidence and theoretical foundations. Anecdotally, corporate communications periodically show waves of popular jargon – from the widespread adoption of terms such as “new economy” in the early 2000s and “big data” between 2012 and 2016 to more recent buzzwords like “digital transformation” and “AI-driven strategies.” Such linguistic patterns suggest companies actively incorporate narratives that resonate positively with investors.

Theoretically, imitation of disclosure language, both in terms of content (what firms say) and style or tone (how they say it), could be driven by rational herding incentives ([Banerjee, 1992b](#); [Bikhchandani et al., 1992](#); [Scharfstein and Stein, 1990a](#)) or institutional pressures toward conformity ([DiMaggio and Powell, 1983](#)). If investors reward certain narratives or communication styles, perhaps interpreting them as signals of visionary management or alignment with proven successful strategies, other firms observing such successful communications have incentives to adjust their own disclosures accordingly. On the other hand, if every firm echoes the same optimistic phrases or content patterns, investors may become skeptical and learn to discount generic messaging and hype. This tension between imitation as a strategic response to investor preferences and the risk of diminishing returns due to perceived insincerity underpins our study.

Motivated by these considerations, in this section, we examine strategic conditions under which firms mimic the disclosure language of their successful peers. Our framework treats linguistic choice explicitly as a strategic decision within a Bayesian game-theoretic framework, where firms anticipate investor reactions when deciding whether to employ peer-tested language or maintain more distinct narratives.² Investors, aware of firms’ incentives, interpret disclosures accordingly, influencing market reactions. The equilibrium analysis derived from this setup identifies circumstances favoring linguistic convergence, where firms cluster around successful language patterns, and those fostering differentiation, providing clear predictions to guide our empirical tests. We then use the insights from this conceptual framework to motivate our hypotheses.

2.1 Model Setup

We consider a setting in which a firm (manager) communicates information to investors through an earnings conference call. The firm has private information about its fundamental performance, denoted by θ , which, for simplicity, we take to be of two types: *High* (strong fundamentals) or *Low* (weak fundamentals). We denote $P(\theta = \text{High}) = \pi$ as the prior probability that the firm is high type. The firm’s objective is to maximize its market valuation (or stock price) after the conference call. Investors form expectations about the firm’s value based on both a quantitative signal (e.g., the earnings numbers, which we assume are truthfully reported) and the *qualitative* information in management’s statements.

Importantly, a firm has considerable discretion over the qualitative statements it makes to provide context to understand its current performance and future prospects. Unlike financial statement items, for which content and presentation are largely guided by operations, accounting rules, and industry norms, language allows much greater flexibility. Companies face fewer boundaries when choosing words and narratives, making language relatively easier to shape and manage compared to numerical disclosures. We model the disclosure language choice as an action a selected by the firm. There are two broad language strategies available:

²A key novelty of our framework is treating language choice as a strategic action in a Bayesian game between the firm (sender) and investors (receivers), akin to a cheap-talk signaling scenario (Crawford and Sobel, 1982).

1. **Unique (U)**: Use a distinctive, firm-specific communication that directly reflects the firm’s own fundamentals and situation. This could involve candid discussion of results, including any weaknesses, or terminology specific to the firm.
2. **Mimic (M)**: Adopt language resembling that previously used by peers, which has generated positive market reactions. In practice, this involves incorporating narratives and framings that investors recently rewarded elsewhere – essentially “riding the coattails” of another firm’s successful communication strategy.

We assume that using either strategy incurs no direct monetary cost for a high-type firm (words are cheap), but a low-type firm that attempts to mimic may incur an implicit cost or risk, $c > 0$. This c captures the idea that if a firm with weak prospects tries to imitate another firm’s successful communication strategy, it might face credibility issues or future penalties. Such penalties could arise from reputational damage if subsequent performance fails to justify the qualitative context provided beforehand, or even legal liability if the language is deemed misleading. A high-type firm, confident in its fundamentals, can mimic successful language without much fear of future blowback, whereas a low-type firm faces a greater risk that mimicry will eventually be exposed, making c effectively higher for the low-type.

Investors observe the firm’s quantitative results (e.g., earnings for the period) and the chosen language style $a \in \{U, M\}$. For simplicity, suppose the quantitative results alone are not perfectly revealing of θ (e.g., the firm can meet earnings targets through various means, leaving uncertainty about underlying health), so the language provides an additional context. Investors then form a posterior belief about the firm’s type using Bayes’ rule, based on the observed language. Finally, the market sets the stock price P equal to the expected firm value given these beliefs. Let V_H and V_L be the actual fundamental values of high and low types (with $V_H > V_L$). If investors assess that the probability the firm is high-type is μ after hearing the call, then the market price is:

$$P = \mu V_H + (1 - \mu) V_L, \tag{1}$$

assuming risk-neutral pricing for simplicity. The firm’s payoff from the game is its post-call price

since it reflects the immediate market evaluation of the firm.

The timing of the strategic disclosure game is as follows:

1. Nature draws the firm's type $\theta \in \{\text{High}, \text{Low}\}$ with prior π .
2. The firm observes θ and also observes the outcome of a peer's prior conference call (including the peer's language and resulting investor reaction). Based on this, the firm chooses a language strategy $a \in \{U, M\}$ for its own call.
3. Investors observe the firm's quantitative results (common knowledge) and the language choice a . They update their belief $\mu = P(\theta = \text{High} \mid a)$ using Bayes' rule and price the stock at $P = E[V \mid a]$.

2.2 Equilibrium in the Bayesian Disclosure Game

We analyze the Perfect Bayesian Equilibria (PBE) of this game, focusing on pure strategy equilibria for the firm's language choice. An equilibrium consists of the firm's strategy (a choice of a for each type θ) and investors' beliefs $\mu(a)$ for each possible observed language, such that: (i) the firm's strategy maximizes its expected payoff given investor beliefs, and (ii) investor beliefs are consistent with Bayes' rule given the strategy.

We find that the model can lead to two qualitatively distinct types of equilibria: a separating equilibrium and a pooling (mimicking) equilibrium. The existence of these equilibria depends on the cost c and the prior π . We formalize this in the following proposition.

Proposition 1 *In the strategic disclosure game, two types of equilibria can arise under different conditions:*

Separating Equilibrium (Differentiated Language): *If the cost of mimicry c is sufficiently high (specifically, $c > V_H - V_L$), a separating equilibrium exists in which the high-type firm chooses the mimicry strategy ($a = M$) and the low-type firm sticks to a unique, candid style ($a = U$). In this equilibrium, investors correctly interpret the mimicked language as a signal of similar high fundamentals, while a unique disclosure is viewed as coming from a low type. Consequently, the high-type firm is rewarded with $P = V_H$ when using mimicry, whereas a firm using unique*

language is priced at V_L . A low-type would gain at most $V_H - V_L$ from mimicking, so if $c > V_H - V_L$ it does not deviate.

Pooling Equilibrium (Herding on Mimicry): *If the cost of mimicry is low enough that $\pi(V_H - V_L) \geq c$, a pooling equilibrium emerges in which both high and low-type firms choose $a = M$ (mimic). All firms herd on the tested language. Investors, anticipating this, derive little information from the language (since everyone talks the same way) and price the stock at an average value $P = \pi V_H + (1 - \pi)V_L$. No firm has an incentive to adopt a unique language under the pessimistic off-path belief that a deviation to U reveals a low type, a standard equilibrium selection in signaling games.*

Proposition 1 illustrates how the model can endogenously produce a differentiated or homogeneous disclosure.³ In practice, c represents the frictions or potential consequences that deter low-quality firms from excessive imitation of peer disclosures. These frictions tend to be greater in environments of strict enforcement or savvy investors, which favors a separating equilibrium: Only genuinely high-quality firms find it optimal to imitate successful disclosure patterns (whether in terms of content, style, or both), while weaker firms hold back from similar mimicry. Conversely, when communication is cheap, and the consequences for misleading disclosures are minimal, even low-quality firms can freely imitate successful practices, resulting in a pooling equilibrium characterized by widespread similarity in disclosure language.

2.3 Herding, Institutional Isomorphism, and Strategic Complementarity

The equilibria discussed above have natural interpretations in terms of herding and institutional isomorphism. The pooling equilibrium corresponds to a scenario of *linguistic herding*: all firms cluster on the same communication strategy by mimicking the language that is perceived to be successful. This outcome resonates with the notion of informational cascades (Bikhchandani et al., 1992) where observing others' actions (peers' disclosures being rewarded) leads an individual (firm) to follow suit, even if its private information might not fully justify it. Each firm, seeing

³We provide a sketch of the proof for Proposition 1 in Appendix A.

that certain narratives have worked for others, rationally adopts similar communication practices. This imitation can ultimately result in an industry-wide convergence toward similar language and narratives, potentially weakening the information value of firm disclosures.

This dynamic can also be viewed through the lens of *institutional isomorphism* from organizational theory (DiMaggio and Powell, 1983). In uncertain environments (like reacting to investor preferences), firms may engage in *mimetic isomorphism*, imitating the practices of peer firms that are perceived as successful or legitimate. Adopting similar language and narratives in conference calls is a relatively low-cost way for firms to align with industry norms and avoid standing out differently (Scharfstein and Stein (1990a)). The consequence is a homogenization of disclosure styles across firms, much like institutions converging on similar structures or policies.

In summary, our theoretical framework suggests that language in earnings calls can serve as a coordination device between firms and investors, albeit an imperfect one. In some equilibria, language is a meaningful signal (separating equilibrium) that helps investors distinguish quality; in others, language could be largely cheap talk that players coordinate on (pooling equilibrium). The next section derives empirical implications from these insights, which will guide how we might detect and evaluate linguistic mimicry in real-world corporate communications.

2.4 Hypothesis Development

Consistent with our theoretical predictions, earnings call disclosures represent strategic choices managers adopt following Bayesian rationality. Firms facing uncertainty about investor reactions may strategically imitate (“mimic”) disclosures used by peers whose prior earnings calls experienced favorable market reactions. Under these conditions, we predict rational herding and institutional isomorphism in disclosure language, concentrated around successful language choices made by earlier-reporting peers. Thus, our first hypothesis is:

Hypothesis 1 (Imitation of Successful Peers): Firms’ earnings call disclosures are more likely to mimic those of peers whose earlier earnings calls elicited positive investor responses.

Investors, forming Bayesian expectations, may interpret similarity in disclosure language as in-

formative of underlying firm quality, at least in the short-term. This intuition is consistent with linguistic mimicry serving as a credible coordinating device, aligning investor beliefs positively, and resulting in stronger immediate stock price responses. Thus, we hypothesize:

Hypothesis 2 (Investor Reaction to Mimicry): Firms whose earnings call disclosures closely mimic successful peer disclosures will experience higher immediate market returns around their own earnings calls.

However, our theoretical framework highlights important equilibrium conditions that influence investor interpretation. Specifically, mimicry in disclosure language can represent either a credible signal of favorable fundamentals or mere “cheap talk,” depending on the cost and incentives of mimicry faced by firms. If mimicry credibly signals strong underlying economic fundamentals – consistent with a separating equilibrium where high-quality firms distinguish themselves from weaker firms – then mimicry should predict better future operating performance. Conversely, if mimicry represents strategic “cheap talk” and reflects the pooling of high- and low-type firms, it would indicate a lack of underlying economic substance. This leads to the following competing hypotheses:

Hypothesis 3 (Mimicry as Signal versus Cheap Talk):

(a) Signaling hypothesis: Greater disclosure similarity with successful peer communications reflects firms’ favorable future performance, indicative of credible signaling of strong fundamentals.

(b) Cheap talk hypothesis: Greater disclosure similarity with successful peer communications negatively predicts firms’ future operating performance, consistent with mimicry reflecting strategic attempts at short-term impression management rather than credible signaling.

The logic for these hypotheses is straightforward from our framework. When the expected price gain $\pi(V_H - V_L)$ exceeds the cost c , mimicry is attractive, yielding H1. In pooling, similarity is uninformative, so it can move short-run prices (H2) without predicting future performance (H3b). In separating, similarity reveals type, so it should predict stronger future performance (H3a).

3. Empirical Strategy

3.1 Data Sources and Sample Construction

Earnings announcement seasons, during which earnings calls play a major role in providing investors with timely information about companies' current performance, strategic direction, and prospects, represent an ideal setting to study whether companies adjust their communications with investors after observing peer narratives in earlier calls and the favorable or unfavorable market responses they generated.

Since we intend to examine the dynamics of peer communication and learning among companies in earnings conference calls, our sample consists of firms with available call transcripts. We obtain earnings call transcripts for approximately 5,000 US companies during the period 2007-2023 from Compustat's Capital IQ (CIQ) database. CIQ transcripts include speaker identification details and differentiate call segments, distinguishing introductory remarks from question-and-answer sections. The Exchange Act Form 8-K (Section 206) states that conference calls that are made publicly available and occur within 48 hours of the earlier press release will not trigger additional 8-K disclosures. Not surprisingly, most companies in our sample hold earnings calls on the day of the earnings announcement (around 74%) or on the following day (around 25%), and a few companies hold the call within one week of the earnings announcement (around 1%).

We restrict our sample to December 31 fiscal year-end companies so that the fiscal quarters of a company and its peers are aligned, and information is comparable. This requirement results in 83,768 firm quarters that we use to construct peer groupings within industries (see Section 3.2). Next, we download financial statements, analyst forecasts, and market data from COMPUSTAT, IBES, and CRSP, respectively. For each firm quarter, we required non-missing values for the event-period abnormal return, at least one analyst forecast, the number of analysts following the firm, and enough information to calculate current and future return-on-assets, current and future capital expenditures, cash flows, sales growth ratio, market-to-book ratio, leverage, earnings volatility, special items, presence of R&D expenditures, and company size. To estimate earnings surprise, we

used the most recent analyst consensus forecast of one- or two-quarter earnings issued or reviewed in the last 60 days before the earnings announcement. The cumulative abnormal return around the earnings conference call is calculated as the difference between the buy-and-hold return of the firm and that of size, book-to-market, and momentum-matching portfolio over the 3-day event window ($BHAR[0, 2]$). Table 1 outlines all variables with definitions and data sources used in our analyses. These additional data requirements further reduced our sample to 51,067 firm-quarter observations.

3.2 Identification through Call Timing

A key empirical challenge in identifying strategic imitation is disentangling deliberate mimicry from mechanical similarity due to shared fundamentals or contemporaneous economic shocks. To overcome this issue, we leverage the *staggered* timing of earnings conference calls within each fiscal quarter by similar firms. Our approach exploits the natural sequence in which companies within the same Fama-French 48 industry report earnings, enabling focal firms to observe peer disclosures and their corresponding market reactions prior to delivering their own earnings calls.

Specifically, we construct our analysis by pairing each ‘focal’ firm in a given industry-quarter with peer firms whose earnings announcements and calls occurred earlier within that same fiscal quarter. By design, all firms that report first in their respective industry-quarter – those without the opportunity to observe prior disclosures – are excluded from the analysis. This temporal structure yields a large sample comprising 2,514,182 firm-peer pairs, enabling us to measure linguistic similarity and explicitly test whether firms align their disclosures strategically after observing investor reactions to peer narratives.

Our identification approach is grounded in the economic intuition of our Bayesian disclosure framework. Under uncertainty about investor preferences, managers rationally treat earlier peer disclosures and the resulting investor reactions as informative signals regarding effective communication strategies. Specifically, when a focal firm i conducts its earnings call on day t , it has already observed the disclosure made by peer firm j on an earlier day $t - k$ (where $k = 1, 2, \dots$),

along with the associated market reaction. Thus, if firm i , despite sharing similar fundamentals and industry conditions with firm j , systematically adopts a language closely similar to that of firm j following a positive investor reaction to the earnings call of j (measured by abnormal stock returns), we interpret this pattern as evidence consistent with strategic imitation.

Figure 1 presents the cumulative distribution of earnings announcement timings relative to the first announcement in the industry. We observe that the majority of companies in the industry announce earnings within 30-40 days of the first announcement. We also observe that companies with extreme good and bad earnings surprises tend to delay their earnings announcements by a few days relative to those with more moderate earnings surprises. This emphasizes the importance of matching on the earnings surprise when constructing peer groups, which we do, yielding 447,607 firm pairs with data available for our analyses.

Figure 2 graphically illustrates our identification strategy, clearly depicting the sequence of earnings calls within a representative quarter and highlighting the temporal window during which focal firms can actively learn from peer disclosures and observed investor responses. The figure underscores the practical reality of corporate communication: managers can closely track their competitive environment and adjust their communication strategies based on what they observe. We provide further details on linguistic similarity measurement in Section 3.3, including our novel NLP-based semantic analysis. Section 3.4 validates our similarity measure, confirming its effectiveness in capturing economically meaningful semantic overlap.

3.3 Measuring Linguistic Similarity (Mimicry)

To measure linguistic similarity between earnings call presentations, we employ a sophisticated natural language processing pipeline using the *gte-large-en-v1.5* model developed by Alibaba’s Institute for Intelligent Computing. This state-of-the-art model generates 1024-dimensional embeddings specifically optimized for semantic understanding and text similarity tasks, and it is particularly effective for capturing nuanced linguistic relationships in financial communications.⁴

⁴We selected the Alibaba model over OpenAI’s embeddings for several compelling reasons. First, it demonstrates exceptional performance when analyzing financial texts. The *gte-large-en-v1.5* model achieves a MTEB (Massive

Our similarity measurement begins with preprocessing the transcripts to standardize formatting and remove non-substantive content such as operator instructions. We then implement a semantic chunking approach to divide each earnings call transcript into *coherent segments* that preserve the semantic integrity of distinct ideas or topics. Semantic chunking is often used in natural language processing tasks to identify meaningful text boundaries and ensure that the model captures the full context of the text. Specifically, our semantic chunking calculates similarity between adjacent sentences of text using their *gte-large-en-v1.5* model’s embeddings, merging sentences into coherent segments if their similarity is above the 90th percentile threshold. This percentile-based threshold approach ensures that chunking adapts to the natural semantic structure of each individual document, rather than applying a fixed similarity value across all documents. Using the 90th percentile threshold means we merge only the most semantically related content, resulting in coherent units that represent distinct topics or themes. A typical earnings call presentation section yields 13-21 segments (with the mean being 17) using this approach.

After identifying these coherent segments, we again utilize the *gte-large-en-v1.5* model to generate dense vector embeddings for each segment (rather than individual sentences). To calculate pairwise similarity between two earnings calls (A and B), we compare each segment from one call to all segments from the other call using cosine similarity. Rather than averaging all possible chunk-pair similarities (which would dilute the signal with many irrelevant comparisons), we focus on meaningful semantic matches by computing the average of only those chunk pairs that exceed a 50% similarity threshold. This approach, unlike simple bag-of-words or n-gram methods, captures deeper semantic relationships while filtering out weak or coincidental similarities.⁵

Text Embedding Benchmark) score of 63.13, significantly outperforming OpenAI’s *text-embedding-ada-002* of 60.99 (performance statistics obtained from the official [MTEB Leaderboard](#)). For tasks within financial contexts, *gte-large-en-v1.5* provides an 8-43% higher accuracy in semantic similarity evaluations. Second, being released in 2024 (compared to OpenAI’s 2022 model), *gte-large-en-v1.5* incorporates advanced technical features, including an expanded context window, enhanced attention mechanisms, sophisticated contrastive learning techniques, and more efficient computation through optimized embedding dimensions (1024 vs. 1536), while achieving superior results. Third, the *gte-large-en-v1.5* model is publicly available and can be run locally without requiring API access, offering greater flexibility and cost efficiency.

⁵Our results are robust to removing the similarity threshold constraint.

The final similarity score between two earnings calls is computed as:

$$\text{Similarity}(A, B) = \frac{1}{N_{AB}} \sum_{i=1}^m \sum_{j=1}^n \text{cosine}(a_i, b_j) \cdot \mathbb{I}(\text{cosine}(a_i, b_j) > 0.5) \quad (2)$$

where a_i and b_j are chunks from calls A and B respectively (with m and n representing the total number of chunks in each call), $\mathbb{I}$ is the indicator function that equals 1 when the similarity exceeds 0.5 and 0 otherwise, and N_{AB} is the count of chunk pairs that exceed the similarity threshold. This linguistic similarity measure captures both the content and structure of earnings call presentations, allowing us to detect subtle linguistic mimicry that simpler text analysis methods may miss. Appendix B provides illustrative examples of similarity scores using specific earnings call text chunks.

3.4 Validation of Similarity Measures

To ensure that our similarity measure reliably captures meaningful similarities in earnings call content, we conduct several validation tests. Specifically, we compare similarity scores across groups of companies with similar versus differing underlying economic conditions with the intuition that calls from companies facing similar (different) economic environments should exhibit higher (lower) similarity. First, we compare similarity scores for pairs of companies within the same Fama-French 48 industry versus pairs of companies from different industries. Figure 3, Panel A presents the proportion of high similarity scores separately for pairs of firms belonging to the same industry and pairs of firms from different industries over the years in our sample period. Every year, we find that more than 60% of the company pairs in the same industry exhibit high similarity scores, whereas less than 30% of pairwise company comparisons in different industries produce high similarity scores. This finding is consistent with expectations that firms facing similar industry conditions and competitive landscapes have more similar earnings call disclosures.

We next examine whether company size and earnings news further explain similarities in disclosures among reporting companies within the sample industry. Figure 3, Panel B, illustrates this analysis. When firm pairs are matched by size (e.g., both large or both small), the proportion of

high similarity scores continues to be higher than for pairs consisting of firms of different sizes. Similarly, when we assess the similarity of disclosures within the same industry by earnings news, we observe that company pairs reporting similar levels of earnings surprise have higher disclosure similarity than pairs with different earnings news. Collectively, these validation tests confirm that our text similarity measure reflects meaningful similarities and differences in earnings call presentations. They also increase confidence in our empirical design as we investigate potential imitation behavior among peers' communications.

4. Results

Our theoretical framework emphasizes that corporate disclosure decisions, particularly in voluntary contexts such as earnings calls, can reflect strategic mimicry driven by rational herding and institutional isomorphism. Specifically, we posit that firms will selectively emulate the linguistic patterns of peers whose prior earnings communications have elicited positive market responses. To empirically test this hypothesis, we use validated textual similarity measures (detailed in Section 3.4). Specifically, we focus on pairs of firms within the same industry that report similar earnings surprises in the same fiscal quarter. By constraining our sample in this manner, we effectively hold constant fundamental economic conditions, allowing us to isolate strategic imitation from purely mechanical similarity stemming from common industry shocks or comparable financial outcomes.

Our empirical analysis proceeds in three related steps, each directly aligned with our theoretical predictions. First, in Section 4.1, we investigate whether the earnings call narratives of focal firms tend to be more similar to peers whose earlier calls within the same fiscal quarter generated favorable market reactions. This analysis allows us to directly assess whether firms pay attention and learn from successful peer communications, consistent with rational herding and mimetic isomorphism theories. Second, in Section 4.5, we evaluate investor responses to such imitation, testing whether focal firms that closely emulate previously successful disclosures actually experience higher stock returns around their own earnings calls. Finally, in Section 4.6, we probe the future economic implications of linguistic imitation by examining whether similarity to successful

peer disclosures is predictive of better future operating performance and/or investment activity of firms. This final step distinguishes between credible signaling, where mimicry aligns with genuine superior fundamentals, and opportunistic “cheap talk” aimed primarily at influencing short-term market perceptions.

4.1 Similarity with Peer Disclosures and Success of Peers’ Earnings Calls

We begin by examining whether firms strategically align their earnings call presentations to mimic peers whose prior calls elicited positive market reactions. Under conditions of uncertainty, our conceptual framework suggests that managers rationally update their disclosure strategies by observing investor responses to earlier peer communications. Specifically, managers are likely to adopt the linguistic content, thematic emphasis, and tone of peer firms whose earnings narratives have previously been rewarded by the market. In contrast, we expect firms to distance their narratives from peers associated with negative investor reactions, given the perceived reputational and valuation risks. To empirically test these predictions, we estimate the following regression model:

$$\begin{aligned}
 (\textit{PeerSimilarity}_{i,j,t} \text{ or } \textit{HighSimilarity}_{i,j,t}) = & \delta_0 + \delta_1(\textit{PeerReturn}_{j,t} \text{ or } \textit{PosPeerReturn}_{j,t}) \\
 & + \delta_2(\textit{PeerTone}_{j,t}) + \delta_3(\textit{PeerBuzzTopic}_{j,t}) \\
 & + \delta_4(\textit{DistanceToPeerCall}_{i,t}) \\
 & + \delta_5(\textit{NumberOfPeers}_{i,t}) \\
 & + \delta_6(\textit{SameSizePeers}_{i,j,t}) \\
 & + \alpha_i + \gamma_t + \epsilon_{i,t},
 \end{aligned} \tag{3}$$

where $\textit{PeerSimilarity}_{i,j,t}$ measures the textual similarity between firm i ’s earnings call presentation and peer firm j ’s earlier earnings call presentation within fiscal quarter t , while $\textit{HighSimilarity}_{i,j,t}$ is an indicator variable equal to 1 if this similarity falls within the highest quartile, and 0 otherwise. $\textit{PeerReturn}_{j,t}$ captures the abnormal stock return surrounding peer j ’s earnings call, reflecting investors’ reactions; $\textit{PosPeerReturn}_{j,t}$ indicates if this abnormal return was positive.⁶ $\textit{PeerTone}_{j,t}$

⁶In addition to the binary indicator $\textit{PosPeerReturn}_{j,t}$, we also consider more granular indicator variables capturing the magnitude and direction of peer returns. Specifically, we define indicators for peer abnormal returns that are: (i) less than -4% (large negative returns), (ii) between -4% and 0% (moderate negative returns), (iii) between 0% and 4% (moderate positive returns), and (iv) greater than 4% (large positive returns).

represents the net tone in peer j 's earnings call presentation, calculated as positive minus negative sentence counts, and $PeerBuzzTopic_{j,t}$ indicates whether peer j discussed trending industry topics (e.g., artificial intelligence or big data). $DistanceToPeerCall_{i,t}$ is the natural logarithm of the days between firm i 's and peer j 's calls. $NumberOfPeers_{i,t}$ is the log of the count of peers who have already conducted earnings calls prior to firm i . $SameSizePeers_{i,j,t}$ equals 1 if firms i and j belong to the same size category. Finally, α_i and γ_t represent firm and year-quarter fixed effects, respectively, and control for unobserved time-invariant characteristics of individual firms and temporal shocks affecting all firms simultaneously.

Consistent with our theoretical predictions, we expect $\delta_1 > 0$ if firms mimic more successful peers, as measured by market reactions to peers' calls. In addition, we expect peer earnings call characteristics, such as peer tone, to positively predict similarity in disclosures ($\delta_2 > 0$). Given that earnings announcements from closer peers tend to cluster in time (Truong, 2023), we expect higher similarity in disclosures for calls closer in time ($\delta_4 < 0$). Finally, we expect the similarity to increase with the number of peers who have already presented, since companies have more opportunities to observe and learn from the content and style of previous calls ($\delta_5 > 0$). Based on our validation tests, companies of the same size have more similar disclosures, we expect $\delta_6 > 0$.

Table 3 reports the results of estimating Eq. (3) on the sample of pairs in the same industry and with the same level of earnings surprise for the quarter. In Panel A, when controlling for firm and year-quarter fixed effects, we find that the focal company's earnings call presentations are more similar to those of its peers whose earlier calls elicited a more favorable market reaction. In addition, the similarity with peers increases when companies are able to observe more prior peer presentations. Finally, as the distance between earnings calls in the pair increases, their similarity decreases, consistent with our predictions that calls of closer peers are likely to be temporally closer to each other.

In Panel B of Table 3, we examine whether our findings are robust to using indicator variables rather than the continuous measure of peer call returns. In column (1), we replace $PeerReturn$ with $PosPeerReturn$, a binary indicator distinguishing positive from negative market reactions to peer

earnings calls. Consistent with Panel A, we find that focal firms' disclosures exhibit significantly greater similarity to peers whose calls elicited positive market reactions. In column (2), we use more granular indicators by partitioning peer returns into four groups: large negative (less than -4%), moderate negative (-4% to 0%), moderate positive (0% to 4%), and large positive (greater than 4%), with large negative returns serving as the benchmark category. The results continue to support our earlier finding that focal firms exhibit greater similarity to peers with higher returns.

In Panel C, we replace the continuous similarity score with high/low similarity indicators and re-estimate Eq. (3). This approach allows us to assess whether the focal firm is more likely to have earnings calls that are either highly similar to or considerably different from its peers, depending on positive or negative market reactions to peers' calls. Our results again indicate that the focal company is more likely to exhibit high similarity in earnings call presentations with peers whose calls received positive market reactions. In contrast, the focal company tends to show low similarity to peers whose earnings calls had negative market reactions.

Collectively, these results underscore that firms adjust their earnings call disclosures to mimic those communications of their peer companies that investors have recently rewarded. Such mimicking behavior likely represents a strategic response aimed at aligning investor perceptions and expectations with disclosure narratives that investors currently favor.

4.2 Consistent vs. Changing Timing of Earnings Announcements

An important concern of our analyses in Section 4.1 is whether our results simply reflect strategic changes in earnings announcement timings to benefit from observing earlier earnings news of peers. To address this concern, we leverage the findings and approach presented in [Noh et al. \(2021\)](#) and categorize companies based on whether they follow a consistent timing pattern when announcing earnings or have non-patterned earnings announcements. [Noh et al. \(2021\)](#) find that changes in firms' earnings announcement order relative to peers are exogenous for the pattern firms and are not driven by changes in their underlying earnings news. We leverage this evidence and consider whether our results for the association between peer returns and earnings call similarity

are different for pattern vs. non-pattern focal firms.

Table 4 presents the results of estimating Eq. (3) for sub-samples of firms with consistent (pattern focal firms) versus changing (non-pattern focal firms) earnings announcement timing. Our sample size is somewhat reduced for these analyses because we require four prior years of data to classify firms based on their historical announcement patterns. In both sub-samples, we continue to observe that the earnings call presentations of focal companies closely resemble those of peers whose earlier calls elicited favorable market reactions. Moreover, we find no significant differences in coefficient magnitudes, demonstrating that our findings are robust for firms whose announcement order relative to peers is exogenously determined and not subject to strategic manipulation.

4.3 Controlling for Business Similarity

It is plausible that our findings regarding companies' similarity with the language of successful peers' earnings calls simply capture similarities in underlying business strategies, either reflecting existing similarity or strategic convergence over time. If so, our results could be driven by firms that are inherently more similar gravitating toward language or strategies favored by the market, rather than active mimicking in response to peers' recent earnings call success. To address this concern, we estimate Eq. (3) with additional controls for business similarity based on firms' 10-K business description sections, measuring pairwise textual similarity in these disclosures. We distinguish between business similarity observed before the current earnings announcement season (using the most recent 10-Ks available) and business similarity observed after the season (using 10-Ks released subsequently). In this manner, we better control for both pre-existing similarities and evolving similarity over time.

Table 5 reports the results. Columns (1) and (2) include controls for prior business similarity, while Columns (3) and (4) include future business similarity. The number of observations is reduced by approximately 18% due to difficulties in extracting business description sections from 10-K reports. Across all four columns, we continue to observe that focal firms exhibit greater linguistic similarity to peers whose earlier earnings calls generated positive market reactions, even af-

ter accounting for both past and future business similarity. Notably, controlling for future business similarity helps address the possibility that our findings simply reflect firms' adoption of similar strategic directions rewarded by the market. Overall, these additional analyses continue to suggest that firms adjust their disclosure language in reaction to peers' recent earnings call successes, and that this effect is not explained by existing or converging business characteristics.

4.4 Pairwise Similarity of Different Types of Earnings Call Content

In prior sections, we find evidence that firms pay attention to peers' earnings calls and adopt language that is more similar to peers whose calls are associated with favorable investor reactions. To better understand which narratives firms mimic, Table 6 re-estimates our baseline pairwise specification in Eq. (3) separately within partitions of the earnings call presentations. The central intuition underlying these splits is that strategic imitation should be most pronounced in disclosure components that give managers greater discretion in wording, disclosures that are less directly verifiable at the time of the call, and are more likely to shape investors' reactions. In contrast, we expect weaker evidence of mimicry for earnings call components tied to quantitative metrics or those more closely scrutinized by analysts and investors.

Panel A of Table 6 partitions earnings call presentations by numerical intensity. We expect that more quantitative language (e.g., discussion of growth rates, margins, earnings guidance, and other metrics) is more verifiable and constrained by consistency with reported financial results. As a result, the reputational and litigation costs of simply adopting a peer's wording are higher. In contrast, low numeric content primarily reflects qualitative framing and narrative explanations, which are inherently more adaptable and therefore less costly to mimic. Consistent with this intuition, we find that the positive association between similarity and a peer's recent earnings call success, as measured by the market reaction to the peer's call, is concentrated in disclosures with low numerical content. The coefficient on *PeerReturn* is positive and statistically significant only in the low numerical content partition (0.112, $t = 3.13$), while the relationship between similarity and peer returns is insignificant for disclosures with higher numerical content. These results

are consistent with firms primarily mimicking qualitative content, rather than disclosures tied to verifiable quantitative metrics.

Panel B separates forward-looking from non-forward-looking disclosures. Because forward-looking language is less immediately verifiable, we expect mimicry to be stronger in forward-looking statements than in discussions of realized performance. However, we find that the association between similarity and *PeerReturn* is positive and significant in the forward-looking parts, where managers have greater discretion in shaping investor perceptions, and in disclosures aimed at explaining current-quarter performance.

Panel C splits the content of earnings call presentations by the relative tone of disclosure. If focal companies mimic peers' recent earnings call successes, we expect imitation to concentrate in more positive segments, where optimistic framing is most likely to shape investors' near term favorable reactions, consistent with reputational herding, in which conforming to positive peer statements reduces the cost of being blamed for subsequent disappointments (Scharfstein and Stein, 1990b). In contrast, mimicry is likely weaker in more negative segments that receive greater scrutiny by the analysts (Graham et al., 2005; Matsumoto et al., 2011). We find that the positive association between similarity and *PeerReturn* is mainly present in more positive earnings call chunks, and is not significant for more negative disclosures. Overall, these results are consistent with companies mimicking more positive language and not the negative content that receives greater attention from participating analysts.

Finally, Panel D explores heterogeneity across broad topical categories, including performance, operations, financing, and innovation. We use a large language model to classify earnings call chunks into topics, prioritizing the meaning of the text. Appendix C provides details on our methodology to classify topics and relevant descriptive statistics. We recognize and find empirically (see Table C.1) that the four topics we consider overlap in practice and, as a result, we do not make ex ante predictions regarding where we would expect greater mimicking. We find that the association between similarity and *PeerReturn* is strongest in performance-related texts (0.137, $t = 4.33$), which constitute more than 60% of earnings call content. We also find evi-

dence of mimicking for financing-related texts, while results are insignificant for operations- and innovation-related contents. Overall, this evidence is exploratory and highlights that mimicking is present in performance-related text, which constitutes the majority of the call, rather than in operations- or innovation-related content.

Taken together, Table 6 provides additional evidence for the interpretation of the baseline mimicry result. The association between focal-peer similarity and peers' call-window returns is not uniform and is concentrated in more qualitative narratives, those that exhibit higher tone, and those that discuss performance. These patterns are consistent with managers imitating the portions of peer disclosures where discretion is greatest and in disclosures that are more likely to shape investors' reactions.

4.5 High Similarity with Successful Peers and Market Reactions

Having established that the focal company's earnings call presentations are more similar to earlier calls by peers that generated favorable market reactions, we now investigate whether greater similarity to these successful peers is associated with higher market responses to the focal firm's own call. Specifically, for each pair comprising a focal company and its peer, we construct an indicator variable equal to 1 if two conditions hold: (1) the focal company's similarity measure is high (i.e., in the highest quartile of the similarity distribution), and (2) the peer's earnings call was successful (i.e., the peer experienced a positive stock return around its call). Subsequently, if a focal company has at least one high similarity case with a successful peer, we flag this at the firm level by setting the indicator variable *HighSimPosRetPeers* to 1. In this manner, we aggregate pairwise-level observations into a firm-level measure that identifies focal companies whose earnings call messages closely resemble peers' earlier calls with positive market reactions. The intuition behind this indicator is to capture whether focal firms adopt communication styles and messages similar to those previously associated with favorable market responses.

If a focal company's earnings call message closely resembles those of successful peer firms, investors may interpret this similarity as a positive signal about the company's prospects. In this

case, we would expect higher stock returns around the company's earnings call. The underlying intuition is that investors might perceive similarity in messaging as reflecting comparable firm characteristics or quality, thus responding positively as they responded earlier to peers' calls. Alternatively, from an informational perspective, if investors regard such similarity as redundant and uninformative, we may observe no relationship between messaging similarity and the focal company's event-period returns.

To test our predictions, we regress a cumulative buy-and-hold abnormal return (relative to return of the size, book-to-market, and momentum matching portfolio) over the 3 days event and 30 days post-event on *HighSimPosRetPeers*, earnings surprise, and other control variables:

$$BHAR[0, 2]_{i,t} = \beta_0 + \beta_1 HighSimPosRetPeers_{i,t} + B \times Controls_{i,t} + \alpha_i + \delta_t + \varepsilon_{i,t}, \quad (4)$$

$$BHAR[3, 30]_{i,t} = \beta_0 + \beta_1 HighSimPosRetPeers_{i,t} + B \times Controls_{i,t} + \alpha_i + \delta_t + \varepsilon_{i,t}, \quad (5)$$

where *HighSimPosRetPeers*_{*i,t*} indicates whether a company *i*'s earnings call presentation in quarter *t* exhibits high similarity with at least one peer whose earlier earnings call received a positive market reaction. *Controls*_{*i,t*} include unexpected earnings, loss, loss interacted with the unexpected earnings, tone of the call, call length, average peer return around earlier earnings calls in the quarter, time since the first company peer had a call, number of peers that already had their earnings calls in the quarter, company size, earnings, earnings volatility, market-to-book, leverage, special items, research and development expense, and analyst following.⁷ Finally, α_i and δ_t represent firm and year-quarter fixed effects, respectively.

Table 7 reports the results of estimating Equations (4)-(5). In Columns (1) and (2), we find that high disclosure similarity with peers who had a favorable response to earlier calls is significantly positively associated with *BHAR*[0, 2] of the focal company, along with the earnings surprise, earnings call tone, and other performance metrics. In terms of economic significance, companies exhibiting high similarity to successful peers experience around 7% higher returns compared to

⁷Control variables are selected following related work by Tetlock (2007), Tetlock et al. (2008), Li (2010), Rogers et al. (2011), Price et al. (2012), Davis et al. (2012), Huang et al. (2013), and Bochkay et al. (2020). Our results do not qualitatively change if we calculate unexpected earnings relative to the same quarter last year.

the median absolute price reaction around earnings calls of 0.043. In Columns (3) and (4), where we use 30-day returns as a dependent variable, we see no evidence of reversal.

Overall, our results indicate that companies whose earnings call presentations closely resemble those of peers who previously experienced positive market reactions have significantly higher immediate market responses (measured by 3-day abnormal returns) around their own earnings calls. These results are consistent with investors interpreting high similarity in earnings call communication as a signal of comparable firm type or quality, prompting them to respond positively as they previously did to peers' calls.

4.6 Similarity with Peer Disclosures and Future Performance and Investments

4.6.1 Future Earnings

Our conceptual framework highlights an important distinction between two potential motivations behind linguistic mimicry in corporate earnings calls: credible signaling of genuine future fundamentals versus strategic, opportunistic imitation aimed primarily at influencing short-term investor perceptions. To empirically evaluate these competing hypotheses, we investigate whether greater disclosure similarity with successful peer firms is reflected in the focal firm's subsequent operating performance. If linguistic mimicry constitutes credible communication, as in a separating equilibrium, we would expect to observe similar future earnings when comparing the focal mimicking company with the peer it mimicked. In contrast, if mimicry is more in line with strategic "cheap talk" intended only to capitalize on short-term investor sentiment, as predicted in our pooling equilibrium scenario, then we would expect mimicking firms to exhibit lower future earnings relative to the successful peers they mimic.

We formally test this prediction by regressing one-year-ahead earnings and change in earnings (relative to the current quarter), each scaled by total assets, on *Mimicking* and a set of control variables and fixed effects, as follows:

$$Earn_{i,t+4} \text{ or } \Delta Earn_{i,t..t+4} = \beta_0 + \beta_1 Mimicking_{i,t} + B \times Controls_{i,t} + \alpha_i + \delta_t + \varepsilon_{i,t}, \quad (6)$$

where $Mimicking_{i,t}$ equals one for focal (mimicking) observations and zero for peer observations that were mimicked. Control variables include current performance characteristics, firm size and growth potential, among others. α_i stands for either industry or firm fixed effects, while δ_i indicates year-quarter fixed effects. The estimation sample for this regression comprises two sets of firm-quarter observations: (i) focal firm-quarters classified as mimickers - firms whose earnings call presentation is highly similar to at least one peer that held its call earlier in the quarter and experienced a favorable market reaction, and (ii) the corresponding peer firm-quarters that are identified as being mimicked by at least one focal firm. If a firm-quarter is both a mimicker and is mimicked by another firm, it enters the estimation sample twice.

Table 8 reports results from estimating Eq. (6). Across all specifications, with controls for current performance, tone, firm characteristics, year-quarter fixed effects and either industry or firm fixed effects, the coefficient on *Mimicking* is negative and statistically significant. Relative to the successful peers they mimic, mimicking companies have lower earnings four quarters ahead and a lower change in earnings over the next year. In untabulated tests, we find similar results when examining earnings and earnings changes in the next three quarters. Overall, these findings suggest that mimicry is associated with weaker subsequent operating performance, rather than reflecting similar underlying fundamentals between mimicking firms and the successful peers they mimic, consistent with the cheap-talk explanation.

4.6.2 Future Investments

The results in the previous section show that mimicking companies have lower earnings than the successful peers they mimic. Even though that finding is consistent with the cheap talk explanation, it does not necessarily imply that mimicry is pure talk. One alternative is that managers mimic because their company is moving toward the peer's operating model (i.e., changes in strategy, capacity, product mix, or technology) that takes time to implement and requires up-front investment at the cost of near-term earnings. If so, the relevant analysis would be to examine companies' investment activities in the upcoming year. If mimicry reflects credible communication

of an intended operational repositioning, we would expect mimicking companies to have higher capital investments. In contrast, opportunistic mimicry is unlikely to translate into actual strategic investment commitments, reinforcing the interpretation of mimicry as short-term impression management rather than genuine signaling of firm type.

We formally examine this relationship by regressing future capital investments (measured as the next year’s capital expenditures scaled by beginning of the period total assets) on *Mimicking* and a set of control variables and fixed effects, as follows:

$$Future\ Investments_{i,t} = \beta_0 + \beta_1 Mimicking_{i,t} + B \times Controls_{i,t} + \alpha_i + \delta_t + \varepsilon_{i,t}, \quad (7)$$

where *Mimicking*_{*i,t*} equals one for focal (mimicking) observations and zero for peer observations that were mimicked. *Controls*_{*i,t*} include the current period’s capital expenditures, Tobin’s Q, operating cash flows, sales growth, tone of the earnings call, loss indicator, earnings, earnings volatility, industry or firm fixed effects (α_i), and year-quarter fixed effects (δ_t). The estimation sample for this regression comprises two sets of firm-quarter observations: (i) focal firm-quarters classified as mimickers - firms whose earnings call presentation is highly similar to at least one peer that held its call earlier in the quarter and experienced a favorable market reaction, and (ii) the corresponding peer firm-quarters that are identified as being mimicked by at least one focal firm. If a firm-quarter is both a mimicker and is mimicked by another firm, it enters the estimation sample twice.

Table 9 reports the results of estimating Eq. (7). Controlling for traditional determinants of investment and for time and industry/firm fixed effects, we find no evidence that mimicking is associated with higher future capital expenditures. Specifically, the coefficient on *Mimicking* is negative and statistically insignificant in both Columns (1) and (2), suggesting mimicking does not translate into greater subsequent investment.

Taken together, these findings are consistent with our predictions under low-cost mimicry and suggest that investors’ initial positive reactions to linguistic similarity may, at least in part, reflect an overly optimistic interpretation of similarity in firms’ narratives. More broadly, the evidence underscores the challenges investors face when firms can strategically align their language with

that of successful peers, reinforcing concerns about investors' processing of qualitative disclosures.

5. Additional Analyses and Robustness Tests

The validity and economic interpretation of our results hinge critically upon correctly attributing observed disclosure similarities to strategic mimicry as outlined in our Bayesian game-theoretic framework. To enhance confidence in our empirical approach and ensure that our findings robustly reflect strategic disclosure decisions rather than alternative explanations or methodological artifacts, we perform a series of additional analyses and robustness tests.

5.1 Alternative specification of variables

A central component of our analysis involves classifying peer disclosures as successful based on investor responses, measured by abnormal returns around earnings calls. While this binary approach is intuitive and captures whether peer disclosures elicited favorable market reactions, it may overlook cases where market responses are consistently positive or negative, or where extreme returns disproportionately affect our classification. These measurement issues could lead us to mistakenly interpret similarity in disclosures as intentional mimicry, rather than as coincidence or a reflection of broader market sentiment.

To address these concerns, we first implement alternative specifications for our measure of peer-market reactions. Specifically, we construct a ranked measure of abnormal returns by dividing the earnings call returns of peers into deciles within each fiscal quarter, thereby mitigating the influence of extreme or uniformly directional market reactions. Reestimating our main pairwise similarity and firm-level regression analyses using this ranked measure yields results similar to our primary findings.

We further test the robustness of our pairwise similarity results by incorporating fixed effects for focal company–peer pairs. These fixed effects control for time-invariant dyadic relationships between a focal firm and specific peer companies, capturing the possibility that certain firm pairs consistently use similar language irrespective of strategic imitation. Our main results remain robust

under this stringent specification, underscoring that the observed mimicry is not simply due to persistent, non-strategic linguistic alignment between specific companies.

5.2 Random assignment of variables and samples

Next, given the potential concerns that our results could be mechanically driven by the structure of our data or arise by chance from analyzing large numbers of pairwise comparisons, we perform additional placebo and sample-partitioning tests.

First, we conduct a placebo analysis by randomly assigning peers into the category of having received a positive market reaction, rather than relying on actual observed returns. Specifically, we randomly classify peer earnings calls as “successful” in proportions matching the distribution observed in our original data. Under our conceptual framework, strategic mimicry occurs because managers update their disclosure strategies based on observed peer success. If our original findings were due solely to random variation or mechanical correlation, then this placebo randomization would replicate similar results. In contrast, our placebo tests yield no statistically significant findings, which suggests that random noise or data artifacts do not drive the documented results.

Second, we evaluate whether our findings are artifacts arising from the substantial size of our data set. To do so, we randomly partition our data into multiple smaller subsets, either five or ten sub-samples, and independently reestimate our primary empirical specification (Eq. (3)) on each smaller sub-sample. If our results were due merely to the size of the data or structural characteristics, they would weaken or disappear in these smaller partitions. However, our main findings remain consistent across these independent subsample analyses.

Finally, we assess whether our inferences remain robust when we restrict peer-wise comparisons to peers whose earnings announcements occurred within the preceding 10, 15, or 20 days, rather than considering all earlier-announcing peers. Our results remain consistent and, notably, they become even stronger in terms of economic magnitude. Collectively, these robustness tests confirm that our results hold under more constrained data conditions.

6. Conclusions

Earnings calls are pivotal disclosure events that shape investor perceptions and influence market dynamics through managerial narratives. While prior accounting research often viewed disclosures as isolated managerial decisions driven primarily by internal fundamentals and business conditions, our findings change this perspective. Instead, we find a strategic dimension in which companies calibrate their communication by mimicking peers whose earlier narratives resonated positively with investors.

Leveraging a novel approach that combines game-theoretic modeling with advanced semantic textual analysis, we show that firms selectively imitate disclosures of peers whose earnings calls previously received favorable market reactions. This strategic mimicry is consistent with Bayesian rational herding and institutional isomorphism: managers update their disclosure choices in response to observed investor preferences, attempting to benefit from positive sentiment spillovers generated by successful peer narratives. In fact, our empirical results confirm that firms adopting such mimicry reap immediate rewards, achieving significantly higher short-term stock returns around their own earnings calls, independent of underlying financial performance.

However, the enthusiasm of the market appears to be short-lived. Despite initial favorable reactions, firms that closely mimic successful peer disclosures subsequently exhibit weaker operational performance and no associated investment activity, suggesting that investors' initial optimism is misplaced. These findings suggest a tension in corporate disclosure practices: linguistic imitation may not necessarily signal genuine business similarity or superior future fundamentals and could partly reflect strategic framing aimed at managing near-term investor perceptions.

Thus, our study provides a cautionary note on the market's interpretation of qualitative corporate disclosures. By explicitly linking strategic disclosure choices to observed investor responses, we shed new light on the subtle interplay between managerial incentives, linguistic mimicry, and investor response. Ultimately, our analysis deepens the understanding of the informational role of corporate disclosures and their strategic interplay in capital markets, underscoring the complexity of distinguishing credible narratives from strategically crafted mimicry.

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Appendix A. Sketch of Proof for the Equilibrium Cases

We outline the intuition for each equilibrium case:

- For the separating equilibrium, suppose investors believe that only a high-type firm would employ the peer-inspired language (M), whereas a low-type firm will stick to a more unique style (U). Given such beliefs, if the firm uses M , investors update $\mu = 1$ (100% chance the firm is high) and set $P = V_H$. If the firm uses U , investors presume it is a low-type (since a high-type would be using language that worked in peers' disclosures in the past), leading to $\mu = 0$ and $P = V_L$. Under these beliefs, the high-type's best response is indeed to use M , yielding $P = V_H$ (whereas deviating to U would result in $P = V_L$). The low-type would consider mimicking only if the price benefit outweighs the cost c . If $c > V_H - V_L$, then even if a low-type were to mimic and briefly fool investors into giving $P = V_H$, the net payoff $V_H - c$ would be lower than V_L (what it gets by sticking to the unique style). Therefore, with c large, the low-type prefers not to mimic, consistent with the proposed equilibrium. By construction, these beliefs are then confirmed by Bayes' rule on the equilibrium path (M signals high, U signals low). Thus, a PBE exists with $(a_H = M, a_L = U)$ and the stated beliefs.
- For the pooling equilibrium, consider beliefs that all firms mimic ($a = M$). Investors hearing the customary language know it conveys no distinguishing information and price at the pooled value $E[V] = \pi V_H + (1 - \pi)V_L$. If a firm were to deviate and use a unique language, what would investors infer? Off the equilibrium path, a plausible belief is that any firm not using similar language must be doing so because it cannot credibly mimic – perhaps implying it is a low-type. Under this pessimistic off-path belief, a deviator to U would be priced at $P = V_L$. Now, given these beliefs, the high-type firm gets $P = \pi V_H + (1 - \pi)V_L$ by following the herd (which is less than V_H but more than V_L if π is not too low), and would get V_L by deviating to U . As long as $\pi V_H + (1 - \pi)V_L > V_L$ (which holds unless $\pi = 0$), even a high-type has no incentive to deviate from mimicry. The low-type also prefers mimicry, since the pooled price $\pi V_H + (1 - \pi)V_L$ exceeds V_L and the cost c is assumed low. Thus, no one deviates, and the belief that language is uninformative is consistent with equilibrium behavior. This constitutes a pooling PBE.

Appendix B. Examples of Earnings Call Similarity

This appendix presents illustrative examples of our semantic similarity measure applied to text chunks from earnings conference calls. For each example, we display a pair of chunks drawn from two firms' earnings call presentations within the same fiscal quarter and industry. We report cosine similarity based on sentence embeddings (our primary measure).

Example 1: Airlines Industry

Embedding cosine similarity: 0.763

Alaska Air Group, Inc. — April 21, 2011

Thanks, Chris, and good morning, everyone. We are pleased to report our more than twofold increase in our first quarter adjusted profit, resulting in our second consecutive first quarter profit and another record. These results were due to strong passenger demand, leading to a 16% or \$136 million improvement in *operating* revenues. Our results were driven by record load factors and improving yields, partially offset by *a significant increase in* our economic *fuel cost*. The capacity increase this quarter, combined with growth in our unit revenue, supports our belief that we can *grow our business profitably* even in times of *higher oil prices*, although our projected growth going forward is more modest than in the first quarter. We are encouraged by these results given the *significant increase in fuel costs*.

Delta Air Lines, Inc. — April 26, 2011

In terms of earnings performance for the June quarter, as Ed mentioned, we expect to be *profitable* with an *operating* margin of 7% to 9%, despite nearly \$1 billion of *higher fuel price* pressure. Our ability to *generate profits in a high fuel* environment illustrates the *strength in our business*, the benefits of the merger and industry consolidation.

Note: Both airlines discuss profitability in the context of rising fuel costs during the same fiscal quarter. Although the chunks differ in length and wording, they overlap thematically, where both companies address staying profitable despite significant fuel price pressures. Each company also provides firm-specific details on load factors, merger benefits, and capacity decisions.

Example 2: Banking Industry

Embedding cosine similarity: 0.872

First Hawaiian, Inc. — January 24, 2019

Turning to Slide 11. *Hawaii's economy continued to perform well* in the fourth quarter, led by strong *tourism* and *real estate* sectors, along with one of the *lowest unemployment rates in the country*. The *state unemployment rate was 2.5% in December compared to 3.9% nationally*. The *visitor industry remained* robust through the first 11 months of the year, with *year-to-date* through November, visitor arrivals were 9 million, up 6.1% over the same period *last year*. And visitor spending was \$16.2 billion, an increase of 8% versus last year. The *real estate*

market remains sound. Sales volumes for single family homes and condominiums were down slightly versus the prior year, where prices in both segments continued to increase. Looking forward, the overall outlook for the economy remains positive.

Bank of Hawaii Corporation — January 28, 2019

Thanks, Mary. *The Hawaii economy continues to perform well* due to an active construction pipeline, the continued strength of our *tourism* industry and a strong *housing market*. Our *statewide unemployment rate was 2.5% in December* and remains very low compared to the *unemployment rate of 3.9% nationally*. Our *visitor industry continues to be strong*, with *year-to-date* growth in 2018 exceeding the record levels of *last year*.

Note: These two Hawaii-based companies discuss nearly identical macroeconomic conditions, including the strength of the Hawaiian economy, identical unemployment figures, and the robust visitor industry.

Example 3: Oil and Gas Industry

Embedding cosine similarity: 0.847

Berry Corporation — April 28, 2010

As we have forecasted, *first quarter production* was relatively flat with the previous quarter as we *ramp up* drilling operations. And we expect each *sequential quarter to grow throughout the year*, average between 32,250 BOE/D and 33,000 BOE/D and expect to exit 2010 over 35,000 BOE/D, which would result in *20% growth* versus our exit in 2009. Those are my comments, Bob.

APA Corporation — April 29, 2010

Going into 2010, we truly expected *first quarter* to be slow relative to the sequence of the *quarters* and *production growth* to accelerate from there and that's exactly what you see reflected on our numbers. *Production ramped up throughout the quarter* with March actual production coming in at 608,000 barrels of oil equivalent a day compared to our average for the quarter of 585,000 barrels a day. And we consider our 5% to 10% organic *growth production* outlook remains unchanged.

Note: Both oil and gas companies describe a similar production trajectory, highlighting a slower start to the year with production ramping up over subsequent quarters. The chunks share the narrative structure of acknowledging a relatively slow first quarter, followed by expected sequential growth throughout the year.

Appendix C. Topic-Based Analysis of Earnings Call Disclosures

Topic Identification Methodology

To examine disclosure similarity at a more granular level, we classify text segments from earnings call transcripts into thematic topics. We employ the OpenAI’s *gpt-oss-20b* large language model to assign topical labels to each text chunk extracted from the earnings calls. Model *gpt-oss-20b* is an open-weight large language model with 20 billion parameters and reasoning capabilities, designed for general-purpose tasks.⁸ We use this model because it provides a balance between computational efficiency and classification accuracy for domain-specific financial texts, while allowing for local deployment and reproducibility.

For our topic classification, we define four common non-mutually exclusive topic categories that capture the primary dimensions of disclosure content in earnings conference calls. We ask the large language model to classify each text chunk of an earnings call into up to three topic labels to each text chunk based on the chunk’s semantic content. Unlike individual sentences, text chunks often encompass multiple thematic topics, and hence we allow multiple labels per chunk. Chunk-level classification provides richer contextual information to the language model, enabling more accurate topic assignment compared to sentence-level approaches, where limited context may lead to ambiguous or inconsistent classifications, albeit at the cost of having multiple labels per chunk.

For each topic, we create a list of keywords that serve as suggestive guidance for the model. We use the following keywords to characterize topics for the model:

- *Operations*: Day-to-day business activities, supply chain, production, facilities, workforce, logistics, service delivery, and regulatory compliance.
- *Performance*: Business outcomes and market context, including revenue, margins, profitability, growth drivers, pricing, demand conditions, and macroeconomic factors.
- *Finance*: Capital structure and financing activities, including debt/equity management, dividends, share repurchases, and liquidity management.
- *Innovation*: Research and development, product launches, technology initiatives, intellectual property, and commercialization efforts.

Importantly, we ask the model to classify chunks following a semantic-first approach, prioritizing the meaning of the text over keyword matching. For more accurate classification, we also require the model to rank the prevalence of topics (if multiple topics are discussed within a chunk) and also, for each labeled topic, provide a brief rationale for classification with references to topic concepts. Finally, we require the model to return structured JavaScript Object Notation (JSON) output conforming to a predefined schema, which ensures consistent parsing of topic labels and all text chunks. Figure C.1 presents the complete prompt used for topic classification.

Topic Distribution and Co-occurrence

Table C.1, Panel A, reports descriptive statistics on the distribution of topics across earnings call transcripts. The statistics are computed at the transcript level, representing the percentage of text chunks assigned to each topic category. We find that performance-related content dominates earnings call discussions, appearing in 63.3% of text chunks on average. Finance and Operations each

⁸According to OpenAI, the *gpt-oss-20b* model delivers similar performance to OpenAI o3-mini model.

account for approximately one-third of the content. Finally, innovation-related content appears in 15.7% of chunks.

Table C.1, Panel B, presents statistics on topic co-occurrence within individual chunks, indicating the frequency with which multiple topics are discussed together in the same chunk. The most common topic co-occurrences involve Performance paired with either Operations or Finance, reflecting the interconnected nature of corporate performance discussions, which typically incorporate operational details to present and discuss financial performance metrics and prospects. Finally, the discussion of innovation is most frequently present in conjunction with performance, followed by operations and financing.

Topic-Level Similarity

To calculate topic-level similarity between earnings call transcripts, we use the same methodology as for our main analysis. Specifically, for each pair of firms (i, j) and topic t , we restrict the similarity calculation to text chunks classified under that topic. Then, we identify all chunks from firm i 's transcript assigned to topic t and all chunks from firm j 's transcript assigned to topic t , then compute pairwise cosine similarity between the corresponding embeddings. The similarity measure is an average of all pairwise similarities with at least 50% similarity score between chunks from the two firms within the given topic.

In untabulated analysis, we also examine the proportion of high similarity scores across topics. Specifically, for each topic, we compute the share of firm pairs that exhibit high topic-level similarity, where high similarity is defined as a similarity score in the top quartile (75th percentile and above) of the overall (not topic-level) similarity score distribution. We find that finance topics show the highest concentration of similar content, with 31.5% of firm pairs classified as high similarity, consistent with the structured nature of capital allocation and liquidity discussions. Operations and Performance topics display comparable rates of 23.6% and 23.4%, respectively, while Innovation topics exhibit the lowest high-similarity rate at 18.2%, indicating greater heterogeneity in how firms discuss research, development, and product initiatives.

FIGURE C.1

Topic Classification Prompt

You are an expert financial analyst and text classifier for earnings conference calls. Your job is to assign one or more topical labels to a given text span from an earnings call, based on semantic meaning.

TOPIC SET (exactly these labels):

- Operations
- Performance
- Finance
- Innovation

High-level topic intents:

- *Operations*: Day-to-day operations, supply chain, production, facilities, workforce, logistics, service delivery, quality, compliance to operate.
- *Performance*: Business outcomes and market context: revenue, margins, profitability, growth/decline drivers, pricing, mix, demand/supply, macro conditions.
- *Finance*: Capital structure and financing activities: debt/equity, covenants, refinancing, buybacks/dividends, hedging, liquidity management.
- *Innovation*: R&D, product/tech development, pilots, IP, AI/ML, automation, engineering collaborations, launches, commercialization plans.

Keyword scaffolds (non-exhaustive; suggestive only - their absence does not preclude a topic; avoid literal keyword matching when semantics disagree):

- *Operations-related keywords*:

operations, operating, operational, product, service, offering, supply chain, logistics, procurement, sourcing, vendor, supplier, distributor, inventory, stock, materials, supplies, backlog, order fulfillment, lead time, manufacturing, production, assembly, factory, plant, capacity, utilization, productivity, transportation, freight, shipping, delivery, distribution, outsourcing, insourcing, offshoring, reshoring, maintenance, repair, overhaul, downtime, uptime, quality control, defect, warranty, recall, facility, warehouse, store, location, branch, customer service, client support, after-sales, disruption, continuity, labor, workforce, staffing, hiring, turnover, retention, union, strike, labor relations, collective bargaining, overhead, administrative expense, SG&A, utilities, electricity, fuel consumption, power usage, regulatory compliance, permits, certifications

- *Performance-related keywords*:

revenue, sales, turnover, top-line, earnings, profit, loss, income, net income, bottom-line, margin, gross margin, operating margin, EBITDA margin, EBITDA, EBIT, operating income, operating profit, EPS, earnings per share, growth, decline, improvement, deterioration, cost, expense, expenditure, spending, cost control, cost reduction, cost of goods sold, COGS, cost of sales, pricing, discount, rebate, market share, sales mix, competitive position, competitive advantage, profitability, ROI, ROA, ROE, cash flow, operating cash flow, free cash flow, liquidity, impairment, write-off, goodwill impairment, asset impairment, working capital, receivables, payables, cash conversion cycle, inventory turnover, days sales outstanding, DSO, days payable outstanding, DPO, bankruptcy, insolvency, Chapter 7, Chapter 11, economic conditions, macroeconomic, inflation, recession, GDP, unemployment, consumer confidence, demand, supply, market conditions

- *Finance-related keywords*:

finance, financing, financial, liquidity, liquid assets, cash reserves, borrow, debt, leverage, loan, credit, covenant, debenture, bond, equity, stock issuance, share repurchase, buyback, dividend, capital structure, capital allocation, capital resources, refinancing, financial restructuring, recapitalization, interest expense, principal repayment, amortization, hedging, derivatives, swaps, options, futures, forwards, lease, leasing, off-balance-sheet financing, credit rating, creditworthiness, default risk, solvency

- *Innovation-related keywords*:

innovation, innovative, research, development, R&D, patent, intellectual property, IP, trademark, copyright, technology, technological, digital, digitization, new product, product launch, product pipeline, prototype, pilot, trial, testing, experimentation, breakthrough, disruptive, cutting-edge, state-of-the-art, automation, robotics, artificial intelligence, AI, machine learning, ML, data analytics, big data, software development, hardware development, engineering, collaboration, partnership, strategic

alliance, commercialization, spin-off, incubator, accelerator, innovation pipeline, innovation strategy, innovation investment, innovation budget

Classification rules:

- 1) *Semantic-first*: Use the meaning of the text. Treat keywords as weak priors. If semantics conflict with keywords, follow semantics.
- 2) *Multi-label allowed*: Assign all topics that are materially present. Do not exceed 3 labels unless clearly necessary.
- 3) *Label ranking*: If multiple labels apply, rank them by strength of relevance (1 = strongest). Use integer ranks only.
- 4) *Classification of meta/preamble text*: Classify as ``Other`` when the text is exclusively of introductory, procedural, or meta nature (e.g., greetings, thanks, agenda statements, operator instructions, safe-harbor/legal disclaimers, Q&A queue logistics, handoffs).
- 5) *Explain briefly*: Provide a brief (1--3 sentences per each identified topic) rationale referencing concepts (not just keywords).
- 6) *Output JSON only*, matching the schema exactly.

Output schema (JSON):

```
{
  "labels": ["Operations" | "Performance" | "Finance" | "Innovation" | "Other"],
  "ranks": [1 | 2 | 3 | ...],
  "rationale": "Short explanation of why these labels apply."
}
```

This figure presents the complete system prompt used with OpenAI *gpt-oss-20b* model to classify text chunks from earnings call transcripts into topical categories. The prompt instructs the language model to assign one to three topic labels based on semantic content, rank labels by relevance, and return results in structured JSON format. The prompt includes keyword scaffolds for each topic category that serve as suggestive guidance rather than strict matching criteria.

TABLE C.1
Topic Distribution and Co-occurrence Across Earnings Call Transcripts

Panel A: Topic distribution across earnings call transcripts

	Operations	Performance	Finance	Innovation
Mean	31.6%	63.3%	33.9%	15.7%
Median	30.8%	65.0%	31.8%	11.1%
Std. Dev.	17.7%	15.7%	16.4%	16.3%
25th Percentile	18.2%	54.5%	22.2%	0.0%
75th Percentile	44.4%	74.1%	44.4%	25.0%

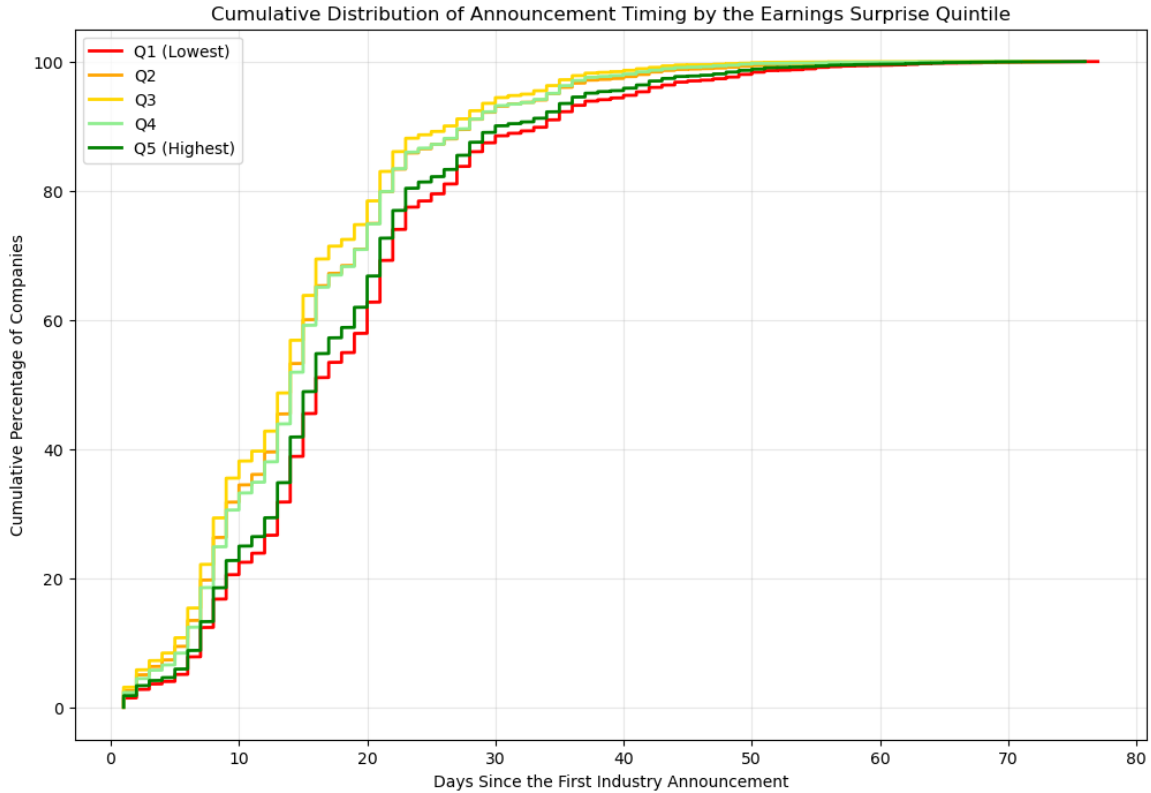
Panel B: Topic pair co-occurrence within text chunks

Topic Pair	Avg. % of Chunks
Performance + Operations	24.8%
Performance + Finance	23.9%
Performance + Innovation	10.9%
Operations + Finance	11.1%
Operations + Innovation	6.0%
Finance + Innovation	3.2%

This table reports descriptive statistics on topic classifications for earnings call text chunks (topics are not mutually exclusive). Panel A reports topic prevalence within transcripts. For each transcript, Panel A reports the percentage of chunks whose assigned labels include a given topic, and these percentages are summarized across transcripts. Panel B reports within-chunk co-occurrence of topic pairs: for each transcript, the percentage of chunks labeled with both topics in a pair is calculated; “Avg. % of Chunks” is the average of this percentage across transcripts.

Figures

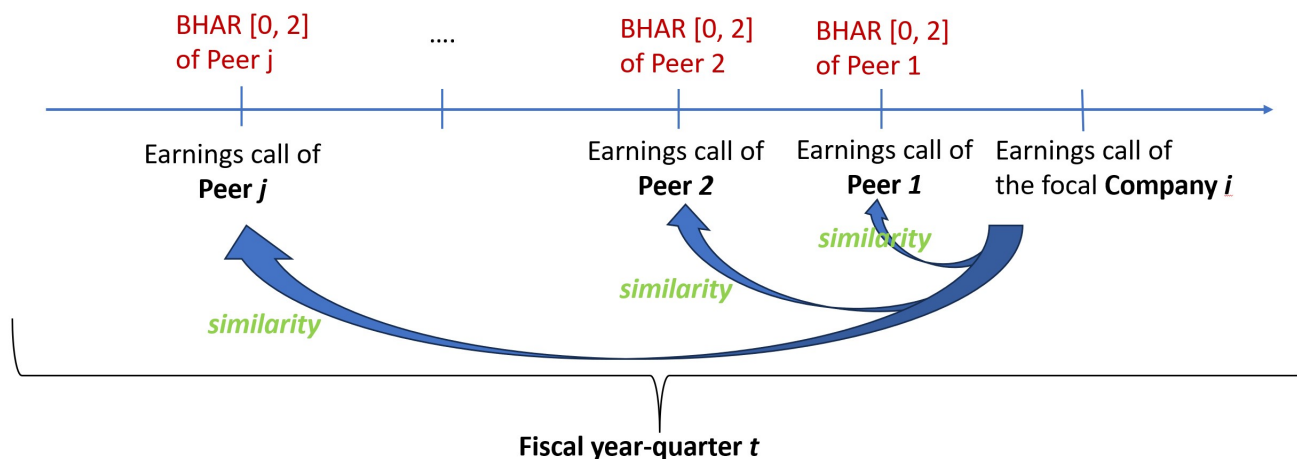
FIGURE 1
Relative earnings announcement timing, by the quintiles of earnings surprise



This figure plots the cumulative distribution of earnings announcement timing by earnings surprise quintiles. Lines show the percentage of companies in each quintile that have announced earnings by each day since the first industry announcement. *Q1* represents companies with the lowest earnings surprises relative to industry peers in the same quarter, while *Q5* represents companies with the highest earnings surprises.

FIGURE 2
Illustration of Pairwise Similarities Calculations

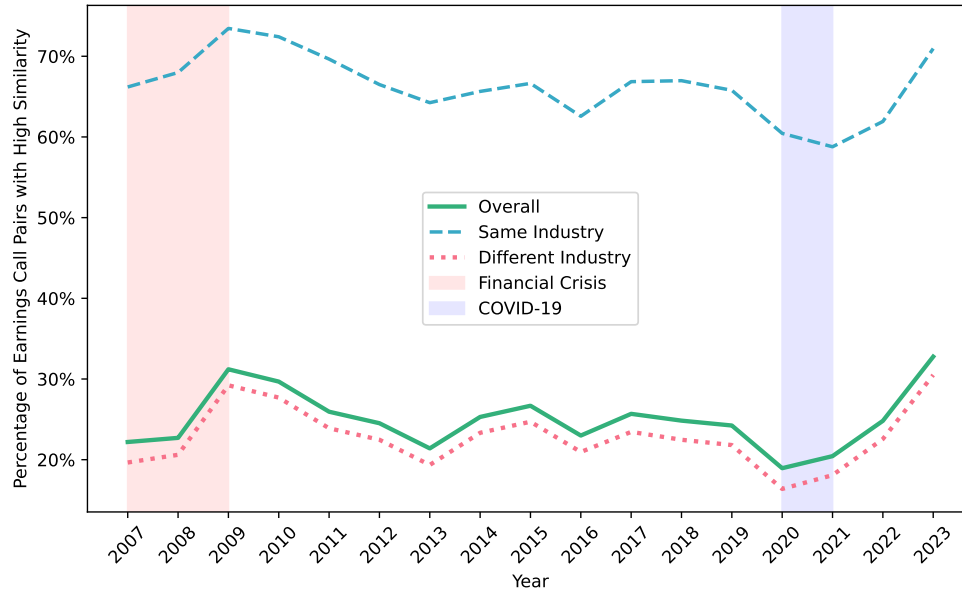
- All Dec 31 FYE companies
- Peers in the same industry
- Peers in the same UE quintile



This figure illustrates how pairwise similarities are measured between the earnings call presentation of a focal firm *i* and those of peer firms that hold earnings calls earlier in the quarter. All firms have a December 31 fiscal year-end to ensure earnings calls correspond to the same fiscal reporting quarter. Peers are defined as companies that belong to the same Fama–French 48 industry as the focal company and belong to the same unexpected earnings quintile as the focal company for the announcement quarter.

FIGURE 3
Earnings Call Presentation Similarity Over Time

Panel A: All Earnings Call Presentations



Panel B: Same Industry Earnings Call Presentations



This figure presents the proportion of high similarity scores among earnings call presentations over the period 2007 through 2023. Panel A displays the percentage of high similarity pairs for all earnings calls and within- and across-industry comparisons. Panel B focuses on within-industry pairs, analyzing similarity patterns based on firm size (market capitalization quintiles) and earnings news (unexpected earnings quintiles), where the same size and earnings news are defined as 1 if both firms are in the same quintile. High similarity is defined as similarity scores in the top quartile of the distribution in a given year. All pairwise comparisons are calculated within the same year-quarter, irrespective of earnings calls sequence order.

Tables

TABLE 1
Variable Definitions and Data Sources.

Variable	Definition	Source
<i>PeerSimilarity_{ij}</i>	Pair-level semantic similarity between the introductory remarks segments of a focal firm <i>i</i> 's earnings call and a peer firm <i>j</i> 's earnings call (with <i>j</i> occurring earlier in the same quarter), where <i>i</i> and <i>j</i> belong to the same Fama–French 48 industry and the same unexpected-earnings quintile for the announcement quarter (December 31 fiscal year-end firms only); calculated using cosine similarity of text segments embeddings (see Section 3.3) and standardized.	Earnings calls are from Capital IQ
<i>HighSimilarity</i>	Indicator variable equal to 1 if <i>PeerSimilarity</i> is in the top quartile of the similarity distribution, and 0 otherwise.	
<i>LowSimilarity</i>	Indicator variable equal to 1 if <i>PeerSimilarity</i> is in the bottom quartile of the similarity distribution, and 0 otherwise.	
<i>PeerReturn</i>	Event-period abnormal return around peer <i>j</i> 's earnings call, calculated relative to size, book-to-market, and momentum matching portfolio return (Daniel et al., 1997).	CRSP
<i>PosPeerReturn</i>	Indicator variable equal to 1 if <i>PeerReturn</i> is positive, and 0 otherwise.	CRSP
<i>PeerTone</i>	The net tone of peer <i>j</i> 's presentation remarks in the earnings call, calculated as the number of positive sentences minus the number of negative sentences, divided by the number of all sentences. Positive vs. negative sentences are classified using the FinBERT model developed by Huang et al. (2023).	Earnings calls are from Capital IQ
<i>PeerBuzzTopic</i>	Indicator variable equal to 1 if peer <i>j</i> 's earnings call discusses trendy industry topics in its earnings call, and 0 otherwise. GPT-4.5 was used to compile a list of trendy sector-level keywords and phrases each year over the sample period.	GPT-4.5
<i>DistanceToPeerCall</i>	Natural logarithm of the number of days between the focal company's call and the call of its peer <i>j</i> .	Earnings calls are from Capital IQ
<i>NumberOfPeers</i>	Natural logarithm of the number of peers that have already had earnings calls before the focal company's call.	Earnings calls are from Capital IQ
<i>SameSizePeers</i>	Indicator variable equal to 1 if firms <i>i</i> and <i>j</i> are in the same size group, and 0 otherwise.	
<i>HighSimPosRetPeers</i>	Indicator variable equal to 1 if the focal company <i>i</i> has at least one instance of <i>HighSimilarity</i> with <i>PosPeerReturn</i> peer, and 0 otherwise.	
<i>Mimicking</i>	Indicator variable equal to 1 for focal firm-quarter observations classified as mimickers, i.e., observations where the focal firm's earnings call presentation is highly similar to at least one peer that held its call earlier in the same quarter and experienced a favorable market reaction, and 0 for the corresponding peer firm-quarter observations that are identified as being mimicked by at least one focal firm. This variable is set to missing for firm-quarter observations that are neither classified as mimickers (focal observations) nor identified as being mimicked (peer observations).	
<i>BHAR</i> [0, 2]	Cumulative abnormal return over the 3-day event window calculated relative to size, book-to-market, and momentum matching portfolio return (Daniel et al., 1997), where day 0 is the earnings call date.	CRSP

Table 1, continued

Variable	Definition	Source
<i>BHAR</i> [3, 30]	Cumulative abnormal return over the one-month (starting on day three after the earnings call date) post-event window calculated relative to size, book-to-market, and momentum matching portfolio return (Daniel et al., 1997).	CRSP
<i>UE</i>	Actual earnings per share (EPS) minus analyst consensus forecast of one- or two-quarters-ahead earnings issued or reviewed in the last 60 days before earnings announcement divided by stock price at the end of quarter, winsorized at 1% and 99%.	IBES
<i>Loss</i>	Indicator variable that equals to 1 if actual EPS is lower than 0.	IBES
<i>Tone</i>	The net tone of a company's presentation remarks in the earnings call, calculated as the number of positive sentences minus the number of negative sentences, divided by the number of all sentences. Sentences are classified as either positive, neutral, or negative using the FinBERT model developed by Huang et al. (2023).	Earnings calls are from Capital IQ
<i>Length</i>	Natural logarithm of the number of words in the presentation remarks section of the earnings call.	Earnings calls are from Capital IQ
<i>AvePeerReturn</i>	Average <i>PeerReturn</i> for all peers' earnings calls prior to the focal company's earnings call.	CRSP
<i>TimeSinceFirstPeerCall</i>	Natural logarithm of the number of days between the first peer company's and the focal company's presentation dates.	
<i>NumberOfPeers</i>	Natural logarithm of the number of peers that already had their earnings announcements and calls.	
<i>Size</i>	Natural logarithm of the market value of equity at the end of the previous quarter.	COMPUSTAT
<i>Earn</i>	Earnings before extraordinary items scaled by total assets, winsorized at 1% and 99%.	COMPUSTAT
<i>CashFlows</i>	Cash flows from operations divided by book value of assets, winsorized at 1% and 99%.	COMPUSTAT
<i>Tobin's Q</i>	Market value of equity plus the book value of assets minus book value of equity plus deferred taxes, divided by the book value of assets, winsorized at 1% and 99%.	COMPUSTAT
<i>CapX</i>	Capital investments taken from the statement of cash flows, divided by the beginning of the period total assets, winsorized at 1% and 99%.	COMPUSTAT
<i>SalesGrowth</i>	The year-on-year growth in quarterly sales, winsorized at 1% and 99%.	COMPUSTAT
<i>EarnVol</i>	Standard deviation of earnings, calculated using earnings scaled by total assets in the last twenty quarters, with a minimum of eight quarters required.	COMPUSTAT
<i>MTB</i>	Market value of equity plus book value of liabilities divided by book value of assets measured at the end of the previous quarter, winsorized at 1% and 99%.	COMPUSTAT
<i>Leverage</i>	Long-term debt to total assets ratio.	COMPUSTAT
<i>SpecialItems</i>	Indicator variable equal to 1 if the absolute value of reported special items in the last quarter is greater than zero, and 0 otherwise.	COMPUSTAT
<i>R&D</i>	Research and development expenses scaled by total assets in the last quarter; set equal to 0 if missing.	COMPUSTAT
<i>NumAnalysts</i>	Natural logarithm of the number of analysts that issued an earnings forecast for a given firm in the last 60 days before the earnings announcement.	IBES

TABLE 2
Descriptive Statistics

Panel A: Pairwise observations paired on industry, year-quarter, and earnings news, $n = 447,607$

	<i>Mean</i>	<i>Median</i>	<i>StD</i>	<i>Q1</i>	<i>Q3</i>
<i>PeerSimilarity</i>	0.0000	-0.1035	1.0000	-0.7195	0.6205
<i>PeerReturn</i>	-0.0011	-0.0006	0.0792	-0.0401	0.0384
<i>PeerPosReturn</i>	0.4957	0.0000	0.5000	0.0000	1.0000
<i>PeerBuzzTopic</i>	0.0994	0.0000	0.2991	0.0000	0.0000
<i>PeerTone</i>	0.2844	0.2868	0.1413	0.1912	0.3829
<i>DistanceToPeerCall</i>	1.9557	2.0794	0.7522	1.3863	2.4849
<i>NumberOfPeers</i>	2.5427	2.6391	0.8090	1.9459	3.1781
<i>SameSizePeers</i>	0.2518	0.0000	0.4340	0.0000	1.0000

Panel B: Firm-year-quarter-level observations, $n = 51,067$

	<i>Mean</i>	<i>Median</i>	<i>StD</i>	<i>Q1</i>	<i>Q3</i>
<i>BHAR[0,2]</i>	-0.0006	-0.0002	0.0933	-0.0429	0.0419
<i>BHAR[3,30]</i>	0.0005	-0.0039	0.1335	-0.0613	0.0537
<i>HighSimPosRetPeers</i>	0.4034	0.0000	0.4906	0.0000	1.0000
<i>UE</i>	0.0003	0.0007	0.0148	-0.0006	0.0027
<i>Loss</i>	0.2034	0.0000	0.4025	0.0000	0.0000
<i>Earnings</i>	-0.0031	0.0048	0.0463	-0.0024	0.0154
<i>CashFlows</i>	0.0281	0.0275	0.0976	0.0042	0.0711
<i>Size</i>	7.5716	7.5333	1.6580	6.4098	8.6297
<i>MTB</i>	2.0225	1.3795	1.6840	1.0508	2.2191
<i>Leverage</i>	0.2166	0.1833	0.1930	0.0407	0.3419
<i>SpecialItems</i>	0.5809	1.0000	0.4934	0.0000	1.0000
<i>R&D</i>	0.0111	0.0000	0.0292	0.0000	0.0093
<i>EarnVolat</i>	0.0374	0.0126	0.2864	0.0051	0.0311
<i>CapX</i>	0.0114	0.0052	0.0173	0.0013	0.0138
<i>TobinQ</i>	2.0238	1.3518	1.8845	1.0400	2.1800
<i>SalesGrowth</i>	0.1921	0.0719	0.7570	-0.0351	0.2231
<i>Tone</i>	0.2834	0.2874	0.1416	0.1901	0.3829
<i>Length</i>	10.4707	10.5261	0.5869	10.1616	10.8536
<i>AvePeerReturn</i>	-0.0001	-0.0003	0.0446	-0.0240	0.0233
<i>TimeSinceFirstPeerCall</i>	2.5144	2.6391	0.5983	2.1972	2.8332
<i>NumberOfPeers</i>	1.8313	1.7918	0.8122	1.0986	2.3979
<i>NumAnalysts</i>	1.4644	1.3863	0.6842	0.6931	1.9459

This table presents descriptive statistics for our sample. Panel A reports summary statistics for the pairwise observations between focal firms and their peers ($n=447,607$), where pairs are matched on industry, year-quarter, and earnings news. Variables include semantic similarity measures for overall earnings call content (*PeerSimilarity*), as well as peer return metrics and call characteristics. Similarity measures have been standardized for better comparability. Panel B reports firm-year-quarter-level observations ($n=51,067$), including abnormal returns around earnings calls (*BHAR[0,2]*, *BHAR[3,30]*), unexpected earnings (*UE*), indicator variable of earnings call presentation having high semantic similarity to peers whose earlier calls received positive market reactions (*HighSimPosRetPeers*), and control variables for financial performance, firm characteristics, and analyst coverage. All variables are defined in Table 1.

TABLE 3
Semantic similarity of earnings call presentations and market reaction to peer calls

Panel A: pairwise similarity and peer companies' returns around earnings calls

	<i>PeerSimilarity</i>	
	(1)	(2)
<i>PeerReturn</i>	0.336*** (3.31)	0.115*** (3.29)
<i>PeerBuzzTopic</i>	-0.164*** (-5.14)	0.005 (0.50)
<i>PeerTone</i>	-0.517*** (-7.70)	0.159*** (4.61)
<i>DistanceToPeerCall</i>	-0.178*** (-16.79)	-0.049*** (-10.71)
<i>NumberOfPeers</i>	0.012 (0.77)	0.023*** (2.89)
<i>SameSizePeers</i>	0.013 (1.26)	0.070*** (13.85)
<i>Firm FE</i>	No	Yes
<i>Year-Qtr FE</i>	Yes	Yes
Observations	447,607	447,595
Adj. R^2	0.037	0.421

Panel B: pairwise similarity and different specifications of peer companies' returns

	<i>PeerSimilarity</i>	
	(1)	(2)
<i>PeerPosReturn</i>	0.021*** (3.84)	
<i>PeerModerNegReturn</i>		0.024*** (3.04)
<i>PeerModerPosReturn</i>		0.041*** (4.76)
<i>PeerExtrPosReturn</i>		0.026*** (2.79)
<i>PeerBuzzTopic</i>	0.005 (0.53)	0.005 (0.51)
<i>PeerTone</i>	0.159*** (4.63)	0.156*** (4.52)
<i>DistanceToPeerCall</i>	-0.049*** (-10.70)	-0.050*** (-10.81)
<i>NumberOfPeers</i>	0.023*** (2.86)	0.023*** (2.92)
<i>SameSizePeers</i>	0.070*** (13.85)	0.070*** (13.96)
<i>Firm FE</i>	Yes	Yes
<i>Year-Qtr FE</i>	Yes	Yes
Observations	447,595	447,595
Adj. R^2	0.421	0.422

Panel C: high vs. low pairwise similarity and peer companies' returns

	<i>HighSimilarity</i>			<i>LowSimilarity</i>		
	(1)	(2)	(3)	(4)	(5)	(6)
<i>PeerReturn</i>	0.027** (2.28)			−0.062*** (−4.24)		
<i>PeerPosReturn</i>		0.006*** (2.71)			−0.009*** (−3.91)	
<i>PeerModerNegReturn</i>			0.007** (2.12)			−0.013*** (−4.18)
<i>PeerModerPosReturn</i>			0.013*** (3.81)			−0.019*** (−4.80)
<i>PeerExtrPosReturn</i>			0.006* (1.83)			−0.014*** (−3.99)
<i>PeerBuzzTopic</i>	−0.003 (−0.78)	−0.003 (−0.75)	−0.003 (−0.77)	−0.003 (−0.68)	−0.004 (−0.69)	−0.003 (−0.67)
<i>PeerTone</i>	0.048*** (3.40)	0.047*** (3.42)	0.046*** (3.32)	−0.052*** (−4.77)	−0.053*** (−4.87)	−0.051*** (−4.70)
<i>DistanceToPeerCall</i>	−0.015*** (−8.32)	−0.015*** (−8.31)	−0.016*** (−8.41)	0.015*** (9.17)	0.015*** (9.16)	0.015*** (9.37)
<i>NumberOfPeers</i>	0.006 (1.66)	0.006 (1.64)	0.006* (1.68)	−0.009*** (−3.26)	−0.009*** (−3.22)	−0.009*** (−3.30)
<i>SameSizePeers</i>	0.028*** (13.63)	0.028*** (13.63)	0.028*** (13.69)	−0.014*** (−7.08)	−0.014*** (−7.11)	−0.015*** (−7.18)
<i>Firm FE</i>	Yes	Yes	Yes	Yes	Yes	Yes
<i>Year-Qtr FE</i>	Yes	Yes	Yes	Yes	Yes	Yes
Observations	447,595	447,595	447,595	447,595	447,595	447,595
Adj. R^2	0.296	0.296	0.296	0.242	0.242	0.242

This table reports the results of estimating the pairwise similarities between earnings call presentations of a focal company and its peers as per the model in Eq. (3). Panel A reports baseline regressions analyzing continuous measures of earnings call pairwise semantic similarity between a focal company and its peers (*PeerSimilarity*). All firms in the pairs have a December 31 fiscal year-end to ensure earnings calls correspond to the same fiscal reporting quarter. Peers are defined as companies that belong to the same Fama–French 48 industry as the focal company and belong to the same unexpected earnings quintile as the focal company for the announcement quarter. Independent variables include peer returns (*PeerReturn*), peer discussion of trendy topics (*PeerBuzzTopic*), peer linguistic tone (*PeerTone*), temporal distance between calls (*DistanceToPeerCall*), peer count (*NumberOfPeers*), and peer size similarity (*SameSizePeers*). Panel B reports results of pairwise similarity (*PeerSimilarity*) for two specifications of peer returns. Column (1) uses a binary indicator for positive peer returns (*PeerPosReturn*). Column (2) uses a more granular categorization of returns with indicator variables for moderate negative returns (*PeerModerNegReturn*: returns between −4% and 0%), moderate positive returns (*PeerModerPosReturn*: returns between 0% and 4%), and extreme positive returns (*PeerExtrPosReturn*: returns greater than 4%). Extreme negative returns (less than −4%) serve as the baseline category in column (2). Panel C reports the results for using indicator variables for high and low pairwise similarity, *HighSimilarity* and *LowSimilarity*, as the dependent variables. *HighSimilarity* is equal to 1 if the pairwise similarity between the focal company and its peer is in the highest quartile of the similarity distribution, and 0 otherwise. *LowSimilarity* is equal to 1 if the pairwise similarity between the focal company and its peer is in the lowest quartile of the similarity distribution, and 0 otherwise. Firm fixed effects and year–quarter fixed effects are included where indicated in the table, but are not reported. The intercept is not reported. All variables are defined in Table 1. ***, **, * indicate significance at the 1%, 5%, and 10% levels, respectively, using a two-tailed t-test. Reported T-statistics (in parentheses) are based on a clustering of standard errors at the firm level and year–quarter level.

TABLE 4
Pairwise similarity of earnings call presentations, by earnings announcement timing consistency

	<i>Pattern focal firm quarters</i>		<i>non-Pattern focal firm quarters</i>	
	(1)	(2)	(3)	(4)
<i>PeerReturn</i>	0.107** (2.21)		0.121*** (3.24)	
<i>PeerPosReturn</i>		0.018** (2.32)		0.024*** (4.09)
<i>PeerBuzzTopic</i>	-0.007 (-0.46)	-0.007 (-0.44)	0.004 (0.35)	0.004 (0.38)
<i>PeerTone</i>	0.153*** (3.05)	0.153*** (3.07)	0.140*** (3.76)	0.140*** (3.75)
<i>DistanceToPeerCall</i>	-0.060*** (-8.42)	-0.060*** (-8.44)	-0.046*** (-9.40)	-0.046*** (-9.38)
<i>NumberOfPeers</i>	0.035*** (2.86)	0.035*** (2.84)	0.022** (2.56)	0.022** (2.53)
<i>SameSizePeers</i>	0.066*** (6.78)	0.066*** (6.79)	0.074*** (13.44)	0.074*** (13.44)
<i>Firm FE</i>	Yes	Yes	Yes	Yes
<i>Year-Qtr FE</i>	Yes	Yes	Yes	Yes
Observations	92,020	92,020	309,957	309,957
Adj. R^2	0.442	0.442	0.423	0.423

This table reports the results of estimating the pairwise similarities between earnings call presentations of a focal company and its peers as per the model in Eq. (3). Pattern firms are identified following the approach similar to that in Noh et al. (2021). Columns (1) and (2) present results for firms with consistent earnings announcement timing patterns (pattern followers), while columns (3) and (4) present results for firms with sporadic announcement timing (non-pattern firms). Firm fixed effects, year-quarter fixed effects, and the constant are included in each regression but are not reported. All variables are defined in Table 1. ***, **, * indicate significance at the 1%, 5%, and 10% levels, respectively, using a two-tailed t-test. Reported T-statistics (in parentheses) are based on a clustering of standard errors at the firm level and year-quarter level.

TABLE 5
Pairwise similarity of earnings call disclosures, controlling for business similarity

	<i>PeerSimilarity</i>			
	(1)	(2)	(3)	(4)
<i>PeerReturn</i>	0.093** (2.44)		0.106*** (2.85)	
<i>PeerPosReturn</i>		0.019*** (3.42)		0.020*** (3.49)
<i>PeerBuzzTopic</i>	-0.015* (-1.89)	-0.015* (-1.85)	-0.016* (-1.95)	-0.016* (-1.91)
<i>PeerTone</i>	0.092*** (3.57)	0.091*** (3.50)	0.100*** (3.65)	0.099*** (3.58)
<i>DistanceToPeerCall</i>	-0.008** (-2.11)	-0.008** (-2.10)	-0.008* (-1.99)	-0.008* (-1.98)
<i>NumberOfPeers</i>	-0.014* (-1.91)	-0.014* (-1.94)	-0.011 (-1.57)	-0.012 (-1.60)
<i>SameSizePeers</i>	0.041*** (8.48)	0.041*** (8.48)	0.040*** (7.95)	0.040*** (7.96)
<i>BusSimilarity</i>	7.234*** (47.84)	7.236*** (47.85)		
<i>FutBusSimilarity</i>			7.427*** (50.62)	7.428*** (50.65)
Observations	365,187	365,187	354,933	354,933
Adj. R^2	0.488	0.489	0.491	0.491

This table reports the results of estimating the pairwise similarities between earnings call presentations of a focal company and its peers as per the model in Eq. (3) after adding business similarity as a control variable. Business similarity is measured using the business description sections in the 10-K reports of the two companies in the pair. Columns (1) and (2) present results that control for business similarity using the pair's 10-K reports available prior to the earnings call, while columns (3) and (4) use the pair's 10-K reports available after the earnings call. Firm fixed effects, year-quarter fixed effects, and the constant are included in each regression but are not reported. All variables are defined in Table 1. ***, **, * indicate significance at the 1%, 5%, and 10% levels, respectively, using a two-tailed t-test. Reported T-statistics (in parentheses) are based on a clustering of standard errors at the firm level and year-quarter level.

TABLE 6
Pairwise similarity of earnings call disclosures, by different categories

Panel A: Numerical content			
	<i>High</i>	<i>Med</i>	<i>Low</i>
<i>PeerReturn</i>	0.062 (1.04)	0.054 (1.29)	0.112*** (3.13)
<i>PeerBuzzTopic</i>	0.030** (2.06)	0.004 (0.30)	−0.010 (−1.25)
<i>PeerTone</i>	0.138*** (4.76)	0.109*** (4.85)	0.020 (0.85)
<i>DistanceToPeerCall</i>	−0.049*** (−10.20)	−0.017*** (−4.06)	−0.014*** (−3.86)
<i>NumberOfPeers</i>	0.038*** (4.47)	0.006 (1.02)	0.004 (0.66)
<i>SameSizePeers</i>	0.068*** (13.50)	0.031*** (6.90)	0.006 (1.43)
<i>Firm FE</i>	Yes	Yes	Yes
<i>Year-Qtr FE</i>	Yes	Yes	Yes
Observations	426,855	431,849	435,988
Adj. R^2	0.170	0.112	0.060
Panel B: Forward-looking vs. non-forward-looking disclosures			
	<i>FLS</i>	<i>non-FLS</i>	
<i>PeerReturn</i>	0.094** (2.19)	0.113*** (3.17)	
<i>PeerBuzzTopic</i>	0.040*** (3.41)	−0.022* (−1.92)	
<i>PeerTone</i>	0.109*** (2.84)	0.105*** (4.05)	
<i>DistanceToPeerCall</i>	−0.035*** (−8.09)	−0.036*** (−8.31)	
<i>NumberOfPeers</i>	0.023*** (3.45)	0.009 (1.31)	
<i>SameSizePeers</i>	0.051*** (10.61)	0.062*** (12.63)	
<i>Firm FE</i>	Yes	Yes	
<i>Year-Qtr FE</i>	Yes	Yes	
Observations	445,811	444,235	
Adj. R^2	0.283	0.243	
Panel C: Split by the tone of disclosure			
	<i>High</i>	<i>Med</i>	<i>Low</i>
<i>PeerReturn</i>	0.262*** (6.20)	0.165*** (4.45)	0.007 (0.12)
<i>PeerBuzzTopic</i>	−0.005 (−0.42)	0.016 (1.55)	0.032* (1.73)
<i>DistanceToPeerCall</i>	−0.032*** (−6.04)	−0.030*** (−6.88)	−0.057*** (−11.46)
<i>NumberOfPeers</i>	0.018** (2.10)	0.011 (1.54)	0.026*** (3.58)
<i>SameSizePeers</i>	0.054*** (11.73)	0.051*** (10.60)	0.045*** (8.91)
<i>Firm FE</i>	Yes	Yes	Yes
<i>Year-Qtr FE</i>	Yes	Yes	Yes
Observations	428,649	441,966	438,501
Adj. R^2	0.298	0.348	0.200

Panel D: Split by the topic of disclosure				
	<i>Performance</i>	<i>Operations</i>	<i>Financing</i>	<i>Innovation</i>
<i>PeerReturn</i>	0.137*** (4.33)	0.014 (0.33)	0.124** (2.64)	0.033 (1.01)
<i>PeerBuzzTopic</i>	0.017 (1.58)	0.014 (1.34)	0.039** (2.65)	0.074*** (8.43)
<i>PeerTone</i>	−0.042 (−1.14)	0.096*** (4.36)	0.105** (2.32)	0.160*** (4.68)
<i>DistanceToPeerCall</i>	−0.045*** (−9.62)	−0.008** (−2.04)	−0.041*** (−9.11)	−0.005 (−1.29)
<i>NumberOfPeers</i>	0.030*** (3.78)	0.001 (0.15)	0.014* (1.78)	0.004 (0.59)
<i>SameSizePeers</i>	0.079*** (15.66)	0.027*** (6.50)	0.074*** (14.37)	0.021*** (3.89)
<i>Firm FE</i>	Yes	Yes	Yes	Yes
<i>Year-Qtr FE</i>	Yes	Yes	Yes	Yes
Observations	442,732	389,401	436,441	242,862
Adj. R^2	0.414	0.122	0.231	0.120

This table reports the results of estimating the pairwise similarities between earnings call presentations of a focal company and its peers as per the model in Eq. (3) for different categories of earnings call contents. Panel A reports regressions analyzing semantic similarity in earnings call remarks between a focal company and its peers, considering the numerical content of disclosure: *High*, *Med*, and *Low* numerical content, respectively. Panel B reports regressions analyzing semantic similarity in earnings call remarks between a focal company and its peers, considering whether the disclosure is forward-looking: *FLS* and *non-FLS*. Panel C reports regressions analyzing semantic similarity in earnings call remarks between a focal company and its peers, considering the tone of disclosure: *High*, *Med*, and *Low* tone of disclosure, respectively. Panel D reports regressions analyzing semantic similarity in earnings call remarks between a focal company and its peers, considering the topic of disclosure: *Performance*, *Operations*, *Financing*, and *Innovation* related content. Each panel is estimated on the corresponding category-specific subsample of firm pairs, where both the focal firm and its peer have at least one disclosure chunk classified into that category; therefore, the number of observations varies across columns and panels. Independent variables include peer returns (*PeerReturn*), peer discussion of trendy topics (*PeerBuzzTopic*), peer linguistic tone (*PeerTone*) in Panels A and C, temporal distance between calls (*DistanceToPeerCall*), peer count (*NumberOfPeers*), and peer size similarity (*SameSizePeers*). Firm fixed effects, year-quarter fixed effects, and the constant are included in each regression but are not reported. All variables are defined in Table 1. ***, **, * indicate significance at the 1%, 5%, and 10% levels, respectively, using a two-tailed t-test. Reported T-statistics (in parentheses) are based on a clustering of standard errors at the firm level and year-quarter level.

TABLE 7
Market reactions and similarity of a company's earnings call to its peers' calls

	<i>BHAR</i> [0,2]		<i>BHAR</i> [3,30]	
	(1)	(2)	(3)	(4)
<i>HighSimPosRetPeers</i>	0.003*** (3.01)	0.003** (2.17)	-0.001 (-0.35)	0.001 (0.43)
<i>UE</i>	1.682*** (12.93)	1.661*** (12.71)	0.200* (1.71)	0.114 (0.87)
<i>Loss</i>	-0.002 (-1.15)	-0.003 (-1.52)	0.004 (0.99)	0.000 (0.11)
<i>LossUE</i>	-1.000*** (-6.74)	-1.028*** (-7.17)	-0.051 (-0.35)	-0.002 (-0.01)
<i>Tone</i>	0.087*** (20.43)	0.120*** (22.46)	0.004 (0.50)	-0.011 (-0.99)
<i>Length</i>	-0.004*** (-5.72)	-0.003*** (-2.74)	0.001 (0.51)	-0.000 (-0.06)
<i>AvePeerReturn</i>	0.231*** (17.80)	0.232*** (15.73)	0.029 (1.28)	0.017 (0.83)
<i>TimeSinceFirstPeerCall</i>	-0.002** (-2.22)	-0.001 (-0.88)	-0.002 (-0.94)	-0.001 (-0.67)
<i>NumberOfPeers</i>	-0.000 (-0.17)	-0.000 (-0.48)	0.000 (0.05)	0.001 (0.33)
<i>Size</i>	-0.003*** (-5.79)	-0.017*** (-10.95)	0.000 (0.30)	-0.021*** (-6.56)
<i>Earnings</i>	0.095*** (6.29)	0.107*** (5.83)	0.001 (0.02)	-0.015 (-0.25)
<i>EarnVolat</i>	0.000 (0.28)	-0.003** (-2.40)	-0.002* (-1.91)	-0.002 (-1.10)
<i>MTB</i>	-0.000 (-1.09)	-0.001 (-1.38)	-0.000 (-0.07)	-0.001 (-0.83)
<i>Leverage</i>	0.002 (0.76)	-0.000 (-0.09)	0.002 (0.30)	-0.002 (-0.20)
<i>SpecialItems</i>	-0.001 (-1.19)	0.002* (1.99)	-0.002 (-1.37)	-0.002 (-1.32)
<i>R&D</i>	0.093*** (4.28)	0.031 (1.52)	0.120** (2.09)	0.071 (1.11)
<i>NumAnalysts</i>	0.004*** (4.29)	0.007*** (5.14)	-0.001 (-0.19)	-0.000 (-0.12)
<i>Year-Qtr FE</i>	Yes	Yes	Yes	Yes
<i>Firm FE</i>	No	Yes	No	Yes
Observations	51,067	50,706	51,046	50,686
Adj. R^2	0.084	0.118	0.004	0.038

This table shows the estimated coefficients from a regression of the 3-day event period and 30-day post-event buy-and-hold abnormal return on the indicator reflecting whether a company's earnings call presentation exhibits high similarity with at least one peer that held its call earlier in the quarter and received a favorable market reaction. Control variables are included in each regression. Year-quarter fixed effects and the constant are included in each regression but are not reported. Firm fixed effects are included in columns (2) and (4) but are not reported. All variables are defined in Table 1. ***, **, * indicate significance at the 1%, 5%, and 10% levels, respectively, using a two-tailed t-test. Reported T-statistics (in parentheses) are based on a two-way clustering at both the firm level and the year-quarter level.

TABLE 8
Future earnings and earnings call similarity

	<i>Earnings_{t+4}</i>		$\Delta Earnings_{t,t+4}$	
	(1)	(2)	(3)	(4)
<i>Mimicking</i>	−0.001*** (−3.34)	−0.001*** (−2.73)	−0.001*** (−3.09)	−0.001** (−2.05)
<i>Earnings</i>	0.362*** (9.73)	0.119*** (4.44)	−0.451*** (−14.26)	−0.755*** (−23.88)
<i>Loss</i>	−0.015*** (−8.73)	−0.004*** (−3.18)	−0.011*** (−7.65)	−0.003** (−2.34)
<i>Tone</i>	0.003 (1.39)	0.012*** (4.44)	0.006** (2.55)	0.012*** (4.30)
<i>Size</i>	0.003*** (6.63)	0.001 (0.96)	0.002*** (5.24)	0.001 (0.69)
<i>MTB</i>	0.001 (1.57)	0.002** (2.48)	0.001 (1.12)	0.002** (2.34)
<i>Leverage</i>	0.001 (0.19)	0.007 (1.19)	0.002 (0.82)	0.009 (1.46)
<i>SpecialItems</i>	0.001 (1.59)	0.000 (0.44)	0.001 (1.66)	0.000 (0.89)
<i>R&D</i>	−0.259*** (−6.31)	−0.152*** (−3.56)	−0.200*** (−4.54)	−0.143*** (−3.05)
<i>EarnVolat</i>	−0.003*** (−2.97)	−0.001 (−0.42)	−0.003*** (−2.81)	−0.000 (−0.33)
<i>NumAnalysts</i>	−0.001 (−1.53)	−0.002* (−1.72)	−0.001 (−0.94)	−0.001 (−1.16)
$\Delta Earnings_{t,t-4}$			−0.179*** (−7.48)	−0.049* (−1.89)
<i>Industry FE</i>	Yes	No	Yes	No
<i>Firm FE</i>	No	Yes	No	Yes
<i>Year-Qtr FE</i>	Yes	Yes	Yes	Yes
Observations	30,633	30,127	30,633	30,127
Adj. R^2	0.475	0.603	0.260	0.433

This table reports coefficient estimates from regressions of one-year-ahead earnings and the one-year-ahead change in earnings (relative to the current quarter), each scaled by total assets ($Earnings_{t+4}$ and $\Delta Earnings_{t,t+4}$), on *Mimicking* and control variables. The estimation sample includes two groups of firm-quarter observations: (i) focal firm-quarters classified as mimickers - firms whose earnings call presentation is highly similar to at least one peer that held its call earlier in the quarter and experienced a favorable market reaction, and (ii) the corresponding peer firm-quarters that are identified as being mimicked by at least one focal firm. *Mimicking* equals one for focal (mimicking) observations and zero for peer observations. If a firm-quarter is classified as mimicking and is also mimicked by another firm, it appears twice in the estimation sample. Year-quarter fixed effects and the constant are included in each regression, but are not reported. Industry fixed effects are included in columns (1) and (3), while firm fixed effects are included in columns (2) and (4). All variables are defined in Table 1. ***, **, * indicate significance at the 1%, 5%, and 10% levels, respectively, using a two-tailed t-test. Reported T-statistics (in parentheses) are based on a two-way clustering at both the firm level and the year-quarter level.

TABLE 9
Future investments and earnings call similarity

	<i>Future CapX</i>	
	(1)	(2)
<i>Mimicking</i>	−0.0002 (−0.55)	−0.001 (−1.61)
<i>CapX</i>	2.979*** (26.98)	1.707*** (13.27)
<i>TobinQ</i>	0.003*** (6.50)	0.006*** (6.89)
<i>CashFlows</i>	0.013 (1.46)	−0.001 (−0.10)
<i>SalesGrowth</i>	0.002** (2.61)	0.001* (1.78)
<i>Tone</i>	0.011*** (3.06)	0.005 (1.31)
<i>Loss</i>	−0.006*** (−3.08)	−0.010*** (−4.17)
<i>Earnings</i>	−0.020 (−0.73)	0.082** (2.33)
<i>EarnVolat</i>	0.004** (2.06)	0.005 (0.92)
<i>Industry FE</i>	Yes	No
<i>Firm FE</i>	No	Yes
<i>Year-Qtr FE</i>	Yes	Yes
Observations	30,320	29,802
Adj. R^2	0.768	0.818

This table presents the coefficient estimates from a regression of the next year's capital investments scaled by total assets (*Future CapX*) on *Mimicking* and control variables. The estimation sample includes two groups of firm-quarter observations: (i) focal firm-quarters classified as mimickers - firms whose earnings call presentation is highly similar to at least one peer that held its call earlier in the quarter and experienced a favorable market reaction, and (ii) the corresponding peer firm-quarters that are identified as being mimicked by at least one focal firm. *Mimicking* equals one for focal (mimicking) observations and zero for peer observations. If a firm-quarter is classified as mimicking and is also mimicked by another firm, it appears twice in the estimation sample. Year-quarter fixed effects and the constant are included in each regression, but are not reported. Industry fixed effects are included in column (1), while firm fixed effects are included in column (2). All variables are defined in Table 1. ***, **, * indicate significance at the 1%, 5%, and 10% levels, respectively, using a two-tailed t-test. Reported T-statistics (in parentheses) are based on a two-way clustering at both the firm level and the year-quarter level.